

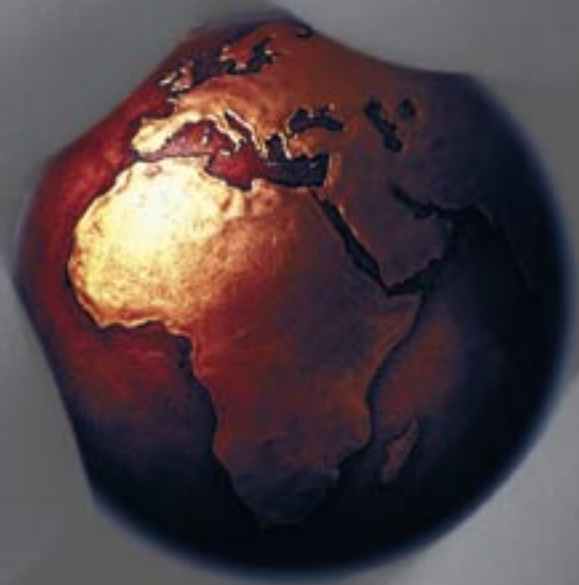


PAN AFRICA INSURANCE HOLDINGS LIMITED
ANNUAL REPORT AND ACCOUNTS 2002



contents

03	Five year group review
05	Board of directors
06	Report of the directors
07	Chairman's report
09	Review of Pan Africa Life Assurance Limited
11	Review of Pan Africa General Insurance Limited
13	Notice of the Annual General Meeting
14	Corporate governance
16	Statement of directors' responsibilities
17	Report of the auditors
18	Report of the consulting actuary
19	Consolidated Profit and loss Account
20	Long - term insurance business revenue accounts - group
21	General insurance business revenue accounts - group
22	Consolidated balance sheet
24	Company balance sheet
26	Consolidated statement of changes in equity
27	Company statement of changes in equity
28	General insurance business consolidated cash flow statement
29	Principal accounting policies
32	Notes forming part of the financial statements
52	Administration
53	Corporate information
54	Principal shareholders
	Proxy form



*We not only understand life, we have a sense for life.
With policies that suit your own special requirements,
a history of steady investment returns
and a service philosophy designed
to satisfy your needs,
we definitely make a
difference.*



five year group review

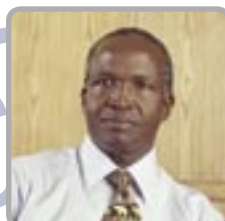
Profit and loss accounts (Shs Millions)	2002	2001	2000	1999	1998
Investment Income	70	30	59	78	92
Pre-tax (loss)/profit	(6)	(158)	(54)	56	126
(Loss)/profits attributable to shareholders	(15)	(152)	(65)	30	73
Proposed Dividends	-	-	-	12	22
Long term insurance business					
Gross premium income	600	473	245	228	184
Net premium income	402	421	243	218	176
Investment income	153	79	112	104	59
Policy-holder benefits paid	201	155	116	96	62
Management expenses	158	132	114	125	101
Life fund	1,184	1,012	866	834	771
General insurance business					
Gross premium income	454	593	563	536	524
Net earned premium	292	294	329	349	313
Claims incurred	175	195	206	256	165
Claims paid	139	176	223	198	161
Management expenses	117	134	110	110	84
Underwriting loss	(47)	(106)	(113)	(28)	0
Balance sheet					
Shareholder's funds (restated)	490	589	1,279	936	683
Share capital	240	240	240	120	65
Total assets (restated)	2,754	2,672	3,581	2,755	2,346
Key ratios					
Basic (loss) /earnings per share (KShs.)	(0.33)	(3.17)	(1.46)	1.17	5.30
Dividend per share	-	-	-	0.50	1.75
Dividend cover (times)	-	-	-	2.30	3.10
Market capitalization at year end	336.00	629.00	528.00	648.00	325.00
Company share prices at the NSE					
High (KShs.)	13	14	27	55	55
Low (KShs.)	7	10	11	25	23
Share price at year end (KShs.)	7	13	11	27	25



*A key area of focus for the
company continues to be the
importance placed on
customer
service.*



board of directors



JPN Simba

LLB

(Chairman)

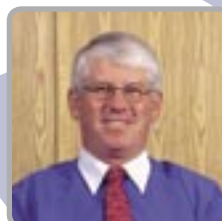
Appointed to the board on 7/12/2001
Appointed Chairman on 11/03/2002
Partner, Simba and Simba Advocates



AD Greenwood,

CA(SA),ACA (Aus)

Executive Director - Pan Africa Life Assurance Limited
Appointed to the board on 7/12/2000
Director - Reliance Insurance Company (Tanzania) Limited
Alternate Director- East Africa Reinsurance Company Limited



JA Burbidge,

FCA,CA(SA),FCPA (Bots)

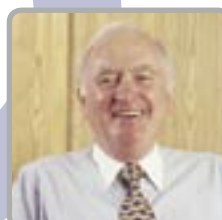
Appointed to board on 28/4/2000
Executive Director- International Operations, African Life Assurance Company Limited
Director of a number of African Life Group Companies



JN Gitoho,

B. Arch. MAAK(A)

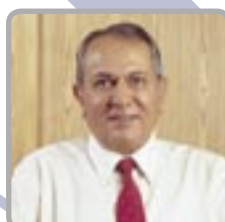
Registered Architect
Appointed to the board on 7/12/2001
Director - Triad Architects



WA Jack,

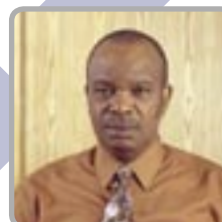
FCII, FIISA

Appointed to the board on 28/4/2000
Director - African Life Assurance Company Limited



BC Patel

Appointed to the board on 6/7/2001
Managing Director - Transworld Safaris Kenya Limited



JM Kituri,

BA

Appointed to the board on 1/7/1994
Area Manager - Eastern Africa Region, Intertek Testing Services
Caleb Brett



A Van Heerden,

BAcc.(Hons), CA (SA)

Appointed to the board on 30/8/2001
Executive Director-Finance - African Life Assurance Company Limited
Director of a number of African Life Group Companies



DN Lacey,

BCom (Hons), MBL,FCII, FIISA

Ag. Chief Executive - Pan Africa General Insurance Limited (until 28th February 2003) (alternate director)
Appointed on 29/9/2000
Deputy General Manager - International Operations, African Life Assurance Company Limited
Director - Reliance Insurance Company (Tanzania) Limited
Director - East Africa Reinsurance Company Limited



report of the directors

The directors submit their report together with the audited financial statements for the year ended 31 December 2002 which disclose the state of affairs of the Group and Company.

INCORPORATION

The Company is incorporated in Kenya under the Companies Act and is domiciled in Kenya.

The name of the company has been changed from Pan Africa Insurance Company Limited to Pan Africa Insurance Holdings Limited with effect from 1st January 2002.

PRINCIPAL ACTIVITIES

The group underwrites all the classes of general and long term insurance business as defined by the Insurance Act (CAP 487), with the exception of aviation, bond investment and industrial life assurance.

RESULTS AND DIVIDEND

The net loss for the year of Shs.15,614,000 (2001: Shs. 152,295,000) has been added to retained earnings. The directors do not recommend the payment of a dividend.

EVENTS AFTER THE BALANCE SHEET DATE

Early in the year, the Company commenced negotiations to consolidate its General Insurance Business with that of Apollo Insurance Limited. The board gave its approval for this process on 18th February 2003, subject to obtaining shareholder approval and the approval of the various regulatory authorities. The process is expected to be concluded in the second half of the year.

FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The group's activities expose it to a variety of financial risks, including underwriting risk, credit risk and the effects of changes in debt and equity market prices, and interest rates. The group's overall risk management programme focuses on the identification and management of risks and seeks to minimize potential adverse effects on its financial performance.

The group's risk management policies include the use of underwriting guidelines and capacity limits, reinsurance planning, credit policy governing the acceptance of clients, and defined criteria for the approval of intermediaries and reinsurers. Investment policies are in place which help manage liquidity, and seek to maximize return within an acceptable level of risk.

DIRECTORS

The Directors who held office during the year and to the date of this report were:

JPN Simba - Chairman
AD Greenwood - Executive Director
DN Lacey - Acting Chief Executive (alternate director)
JA Burbidge
JN Gitoho
WA Jack
JM Kituri
BC Patel
A Van Heerden

In accordance with the Company's Articles of Association, Messrs BC Patel and JM Kituri retire by rotation and, being eligible, offer themselves for re-election.

AUDITORS

The Company's auditors, PricewaterhouseCoopers, continue in office in accordance with Section 159(2) of the Companies Act.

AD Greenwood

Executive Director

14th April 2003



chairman's report



JPN Simba
Chairman

ECONOMIC ENVIRONMENT

The Kenyan economy has experienced several years of poor performance, and the trend was similar last year. The poor performance was a direct result of low investor confidence, lack of support from the country's development partners, apprehension caused by impending elections and the consequent transition of power to a new government. Poor infrastructure and the high cost and inadequate supply of electricity also played a big part in the poor economic performance.

As a result of these factors, the economy registered a marginal growth rate of 0.7% compared to 1.2% registered in 2001. The minimal growth is attributable to a number of factors, among them the continued decline in interest rates, which after peaking at 11% in December 2001 slid to 8% by December 2002, as well as improved earnings from the tourism sector. The Kenyan shilling also proved resilient against major international currencies and, coupled with a fairly low rate of inflation and good rains, helped to ensure that the prices of basic commodities remained steady. The purchasing power of most people, however, remained low as a result of the factors outlined earlier, and these positive aspects of the economy had little significant positive effect on the country's overall economic performance.

Challenges for the New Government

The new government was elected on a platform of drastic change in the management of the country's affairs with the aim of improving the lives of Kenyans, 56% of whom live

below the poverty line. Much of the promised change will entail heavy expenditure by a government that is already reeling from a budget deficit amounting to nearly US \$ 1 billion or close to 10% of the country's Gross Domestic Product (GDP). The net effect of implementing the expensive but necessary promised changes will be that the current year will be a very difficult one for the government and private sector alike.

Free primary education has already been effected and, while the government has been universally praised for it, the cost, which was not originally provided for in this year's budget, will raise the government's expenditure on the sector to nearly 50% of its recurrent budget. The government's commitment and prompt action has been widely acclaimed. This has enabled the government to get assistance from both bilateral and multilateral donors.

Social intervention programmes will also be needed in the health and housing sectors. In health, the AIDS pandemic, the seasonal malaria outbreaks and high child mortality rates are expected to receive a substantial share of the government's budgetary allocations. The issue of AIDS is already receiving attention at the highest level, with the President taking a leading role in seeking ways to counter its spread, while malaria and high child mortality rates are being addressed at ministerial level. The thorny issue of adequate housing is mainly being addressed through external investors and the ministry concerned has pledged to provide 150,000 new units per year. In addition, plans are well advanced to upgrade slums in urban centres.

The country's dilapidated infrastructure is however expected to take the largest share of government's development expenditure. Roads, railways and telecommunications are in urgent need of repair or total reconstruction. There is a lot of enthusiasm at the concerned ministries to address this challenge. While the astronomical cost of upgrading the infrastructure is likely to delay implementation, better management and maintenance of the facilities in place should be emphasized in future in order to avoid the current situation where neglect is now leading to colossal funds being spent.

The energy sector is also in urgent need of review. For a number of years now, Kenyans have not had adequate or affordable



supplies of energy. Poor management of the sector, corruption, delays in implementing power generating projects, as well as poor relations with donors have made the cost of power high and this has impacted negatively on consumers of power at all levels. The sector is in need of an overhaul and injection of funds to ensure that the country has adequate and affordable energy supplies.

Future Outlook

Although challenges remain, the future outlook for the economy is positive. Prospects for growth, however, will depend on the economic policies that the government is going to pursue, as well as on its ability to cash in on the positive sentiments and goodwill arising from the success of the recently concluded general elections. To date, the government has shown a determination to deal with issues that are critical to the revival of the economy, chief among them the eradication of corruption and proper management of national resources.

It will be important for the government to engage in serious consultations with the private sector, which is the main engine for the country's growth and which will be expected to generate the much needed employment opportunities that the government promised the electorate last year. The management of key productive sectors, especially agriculture, will need to be addressed urgently, with emphasis on production rather than consumption. Provision of seasonal credit to farmers and proper marketing of farm produce should be addressed to ensure that the sector rises once again to be the backbone of a growing economy. The private sector, which is the country's engine of growth, should be encouraged, with priority given to ameliorating the negative effects of a heavy tax regime. This will enable investors make further investments in the country.

Overall, performance is expected to improve slightly in the second half of the year especially if, as expected, the country's bilateral and multilateral donors resume lending to the country. If all the necessary changes and policies are in place in good time, the economy will once again be back on track. The goodwill is there and Kenyans will play their part to make this a reality.

The Insurance Industry

As with all other sectors of the economy, the insurance industry suffered as a result of the depressed economy in 2002. Fierce competition in an ever shrinking market, failure to remit premiums in good time and the effects of terrorism along the country's coastal region, which also adversely affected the tourism industry, largely contributed to the poor performance by the industry.

On a positive note, the joint efforts of the Association of Kenya Insurers (AKI) and the Kenya Government through the Office of the Commissioner of Insurance to better regulate the industry, with particular emphasis on premium rates and premium remittance, began to have a positive impact on the insurance market. As a consequence of these efforts, premium collection has improved and it is now accepted practice in the industry that policies whose premiums remain unpaid beyond a specified period are automatically cancelled. Unfortunately, the year also saw a hiking of reinsurance rates, which further eroded profit margins in the industry.

The individual life market received a shot in the arm with the re-introduction of premium tax relief with effect from 1st January 2003 announced in the 2002 budget speech. This is expected to stimulate the life market and to substantially contribute to growth in the long term savings in the country.

The insurance industry as a whole will continue to operate in a difficult environment as the government institutes measures to grow the economy. While prospects for growth remain, how soon the industry recovers to play a leading role in the country's economy will largely depend on the policies instituted by the government, as well as the industry's willingness and ability to conform with the regulations instituted by AKI.



review of Pan Africa Life Assurance Limited



AD Greenwood
Executive Director

Performance

The life operations of the Pan Africa Insurance Group have shown significant growth for the second successive year. Individual life gross premium income increased by 21% to Kshs 355 m while Corporate Business (Group Life and Employee Benefits) increased by an impressive 37% to Kshs 246 m. With Corporate Business having grown by nearly seven times the level of business written in 2000, Pan Africa Life is now seen as a leading player in the market in this line of business, complimenting the Company's pre-eminent position in the individual life market.

Net premium income reduced by 4% over 2001 as a result of additional reinsurance costs related to Group Life business. Management has reviewed its reinsurance treaty arrangements for 2003 to balance the planned business growth with the levels of risk retained.

Investment income has shown an increase of 92% over 2001 stemming largely from gains in the value of investment properties and fair value gains on quoted shares, together with a 36% reduction in investment income generation expenditure. In 2002 the company outsourced its property and investment management to third party specialist organisations, allowing the management team to focus on the Company's core business. We have seen the positive effects of these changes through increased property occupancies, improved rental collections and gains in property values. For non-property investments we have experienced improvements in the mix of portfolio, investments that are now better matched to the profile of liabilities to policyholders, together with improved returns on investments.

Despite the growth in level of business written, overall expenses have increased by only 12% reflecting management's continued

efforts to drive down unit costs by ensuring that these grow at a level below the growth in premium income and the number of active policies in the books.

The Company paid benefits to policyholders exceeding Kshs 311m prior to reinsurance recoveries of Kshs 106 m. This reflects an increase in gross benefits paid of 44% over the previous year, reflecting the growth in Group business and also as a result of once-off payment's for membership withdrawals under pension schemes managed by the company.

As explained in more detail in note 12 of the financial statements, in order to comply with the amendments to IAS17 relating to the treatment of Leases in financial statements, the life funds have been reduced by an amount of Kshs 100 m. An equivalent amount has been transferred from shareholders funds to the life funds to match this adjustment. The life funds stand at Kshs 1,184 m as at 31 December 2002. The company's consulting actuaries carried out a valuation of the life business as at that date and arising from this a simple reversionary vesting bonus of 2.5% together with an annually reviewable simple non-vesting bonus of a further 2.5% has been recommended for individual life with-profit policyholders. The total bonus of 5% compares with a simple reversionary bonus of 4% declared in 2001. For Deposit Administration Schemes, an interest declaration of 9% (2001: 10%) has been recommended for the year under review. An amount of Kshs 51m has been transferred from the statutory life fund to the general fund. In view of the continuing growth in the book of business and the resultant new business strain, the board of directors have adopted a conservative approach and have therefore not recommended any transfer to the shareholders' funds.

Capital of Kshs 527m has been assigned to the company. After cumulative transfers of Kshs 397m to the Life Funds, net shareholders funds amount to Kshs 129m. The company thus remains strongly capitalised.

Product Development

The Company introduced a new unit-linked individual life product, the Wealth Provider, in June. This has been extremely well received in the market and has formed the vanguard of the strong growth reflected in this line. The Family Funeral Finance Plan launched in 2001 has continued to receive the regional support demonstrated



in the prior year and initiatives are in place to bring awareness and the need for this product to other parts of the country. While continuing to service the products traditionally sold by Pan Africa Insurance, sales efforts are now concentrated on the Wealth Provider and the Family Funeral Finance Plan.

Within the Corporate Business line, a new Group Credit Life scheme was introduced towards the end of 2002 and is expected to bear fruit in 2003.

Direct annual communication with policyholders provides updated information on their policies and provides them the opportunity to consider recently introduced products or enhance existing policies, particularly with the premium update facility now available on all Pan Africa Life products designed to combat the effects of inflation.

Close collaboration with actuarial resources within the African Life group will ensure that the company continues to deliver innovative products designed for the needs of the market. Ongoing and comprehensive research into mortality and population trends, particularly those relating to HIV and AIDS, will ensure that benefits are priced correctly, providing appropriate benefits and returns to policyholders and shareholders alike.

Development of Staff & Agents

A comprehensive job evaluation was conducted during the year for all administrative posts within the company. The objective was to ensure that the job functions performed by staff were commensurate with their staff grade and remuneration. An external consultant supported by the Human Resources team and a committee of staff members assisted management with this project. Initial changes to standardise staff terms and benefits were introduced and will be seen through in 2003.

In addition to technical training which is sponsored by the company, all staff regularly attend business appreciation courses, most of which are conducted in-house using the company's training resources and those of African Life. All the staff are encouraged to study further for professional qualifications.

The Company strongly supports the initiatives of the Commissioner of Insurance and those of the Association of Kenya Insurers to raise the standard of technical competence of intermediaries operating in the market. During the year, the company appointed a full time National Training Manager whose brief is to train and test all agents on knowledge of products sold by the company prior to being given a license to sell the company's products. In addition, the National Training Manager co-ordinates the training and examination preparation for the Certificate of Proficiency set by the College of Insurance. All agents in the industry must pass this examination within twelve months of entering the

industry. The Commissioner of Insurance has set a deadline of 30 June 2003 for the introduction of this requirement. Having had the benefit of the National Training Manager preparing our life agents for this examination, the company is well positioned for the imminent introduction of this directive.

The successful sales drive of 2002 was crowned at the Gala dinner of the Association of Kenya Insurers Agents of Year



Executive committee

Pan Africa Life Assurance Limited

(Standing l-r) GJ Richter, W Ngari, RK Murithi

(Seated l-r) G Kioi, AD Greenwood, J Muiruri

Award for 2002 held recently. Of the 50 agents throughout the industry who received awards, 19 came from Pan Africa Life. The Company was honoured with the AKI Agents of the Year - Company Award in recognition of this achievement.

Service to Customers

A key area of focus for the company continues to be the importance placed on customer service. In addition to the annual communication to policyholders introduced in the year, which was mentioned above, a fully-fledged customer service centre has been opened on the ground floor of Pan Africa House in Kenyatta Avenue, Nairobi. With adequate office space, customer service staff and facilities have been put in place to ensure that most queries and routine benefit payments can be immediately dealt with. Management intends to deliver most of these facilities to its ten branches outside Nairobi during the course of 2003.

Outlook

Our focus is to continue growing the business by at least the levels demonstrated in the last 2 years. Through continuous development of innovative products that meet real market needs, our commitment to superior customer service, development and training of our staff and agents and management of costs, management is confident that our growth objectives will be achieved.



review of Pan Africa General Insurance Limited

review of pan africa general



KM Kimani
General Manager
(Appointed Principal Officer
20th March 2003)

Industry

The General Business environment has faced a number of challenges in the past few years and last year was no exception. Severe rate competition characterized the market arising out of the contracting economy. The Association of Kenya Insurers (AKI) and other market players, in particular the regulatory authorities took certain measures to address the existing un-economic rate levels. Minimum rates agreed on some categories of business improved certain classes, especially Fire Industrial. Other classes such as Motor and Workmen Compensation are still experiencing unsustainable premium rate levels leading to severe underwriting losses. Progress has been made in premium collection, due to tighter controls by the Commissioner's Office and Premium Financing.

Performance

Coupled with difficult trading conditions and a general downturn in the Aviation, Medical, Motor and other Personal Lines of business, overall net premium dropped by 6% from Kshs 310 million to Kshs. 292 million.

During the year, two new products were launched namely "Pan-sure" to cater for various personal lines and "Panamed" an in-patient medical cover. These products are expected to contribute to the growth of these lines.

The Division continued with its new underwriting philosophy focusing on business quality and profitability. The first half of the year showed an improvement, but the trend worsened in the second half of the year mainly due to Motor Private. This is consistent with the rest of the Industry. Arising from this,

the Company registered an overall technical loss of Kshs. 15.8 million compared to Kshs. 68.5 million last year.

The bad debt provision remained high at Kshs. 31 million compared to previous year's of Kshs. 38 million. However, Management remains confident that most of the debt is collectable.

Management expenses reduced from Kshs. 134.1 million in the previous year to Kshs. 117.7 million in year 2002 due to tighter management controls. The overall underwriting results, though a loss of Kshs. 47.6 million, compares favourably to the previous year's loss of Kshs. 106.8 million.

Outlook

As the negotiations to consolidate the operations of the company with those of Apollo Insurance Company Limited continue, it is expected that the gains achieved so far in the underwriting philosophy and the control of expenses coupled with a larger premium base should improve the underwriting results.



Executive committee

Pan Africa General Insurance Limited
(Standing l-r) M Kabiru, TN Kamau, BN Ambunya (Miss)
(Seated l-r) PW Ndegwa (Miss), KM Kimani,
JW Murengi (Mrs)
(Not in picture) FW Wokabi (Mrs)



*Our people remain our
greatest asset and
remain focused
on adding value.*



notice of the annual general meeting

Notice is hereby given that the 58th annual general meeting of the Company will be held on 19th June 2003 at The Stanley Hotel, at 3.00 p.m. to transact the following business:

ORDINARY BUSINESS:

1. To confirm the minutes of the 57th Annual General Meeting held on 28th June 2002.
2. To receive the audited financial statements for the year ended 31st December 2002 and the reports of the Chairman, the Directors, the Auditors and the Consulting Actuaries.
3. To elect Directors
In accordance with the Company's Articles of Association, Messers BC Patel and JM Kituri retire by rotation and being eligible, offer themselves for re-election.
4. To approve the remuneration of the Directors.
5. To re-appoint the auditors, PricewaterhouseCoopers, and authorise the Directors to fix their remuneration.
6. To consider and, if thought fit, to pass the following special resolution:

"To authorise the remuneration committee of the board of directors of the company to, and subject to the approval of the

Capital Markets Authority, establish any scheme for encouraging or facilitating the holding of shares or debentures in the company by or for the benefit of its employees, agents or former employees, or those of its subsidiaries or holding company or other subsidiaries of its holding company or for the benefit of such other persons as may from time to time be permitted by law or any scheme for sharing profits with its employees or those of its subsidiaries and/ or associated companies and (so far as the same may be permitted by law) to allow the company to lend money to its employees (other than its non-executive directors) with a view to enabling them to acquire shares in the company, its subsidiaries and or its associated companies.

The aggregate limit on the number of ordinary shares of the company that the remuneration committee of the board of directors of the company are generally and unconditionally authorised to issue under the employee incentive schemes shall not exceed 5% of the authorised share capital of the company from time to time."

7. To transact any other business with the permission of the Chair.

VOTING AND PROXY:

A shareholder entitled to attend and vote may appoint a proxy who need not be a member of the Company to attend and vote on his or her behalf.

By Order of the Board
G Kioi
Secretary
7th May 2003

Registered office
Pan Africa House
Kenyatta Avenue
PO Box 10493 - 00100
Nairobi.



corporate governance

Corporate governance is the process by which companies are directed and controlled. Directors of the Board are responsible for the governance of the company whilst the shareholders' role is to appoint the directors and the auditors. The concept of corporate governance has grown in recent years, as reflected in the King Reports in South Africa, the Cadbury Report in the United Kingdom and the Corporate Governance Guidelines 2002 issued by the Capital Markets Authority in Kenya. The objective of these reports is to promote the highest standards of corporate governance by setting out a series of recommendations and principles to which all companies should aspire.

The directors recognize the need to conduct the business of the group with integrity and in accordance with generally accepted corporate practices, and endorse the internationally developed principles of corporate governance. Attention will continue to be given to the implementation of corporate governance principles relevant to the group's operations.

DIRECTORS

The composition of the Board of Directors is set out on page 5 and the Board sub-committees are set out below. The Board is chaired by an independent non-executive director and included two executive directors during the year. Board members have extensive business and financial services experience, which is brought to bear in the overall governance of the group.

The Board meets no less frequently than on a quarterly basis to monitor performance against budget and business plans as well as to formulate and implement overall group strategy. The Board's functions are assisted through the operation of the sub-committees, the chairpersons of whom report to the Board.

AUDIT COMMITTEE

The Audit Committee, chaired by a non-executive director, meets once a quarter and is responsible for reviewing financial information as well as monitoring the effectiveness of management information and internal control systems. The senior finance personnel of the company and its subsidiaries attend all meetings. The committee also considers all significant findings of the Group internal and external auditors and the Group's actuary, who are invited to attend the meetings.

INVESTMENT COMMITTEE

The Investment Committee, chaired by a non-executive director, meets once a quarter and is responsible for planning investment strategy and monitoring the performance of the group's investments.

REMUNERATION COMMITTEE

The Remuneration Committee, chaired by a non-executive director, meets at least twice annually. The committee is responsible for ensuring that the directors and senior executives of the group are fairly rewarded for their services and that overall salary reviews for staff are consistent with those of the market, and of the operational performance of the companies within the group.

AUDIT

A Van Heerden (Chairman), JA Burbidge, AD Greenwood, DN Lacey, JPN Simba, JW Murengi*, M Kabiru*, G Kioi*

INVESTMENT

BC Patel (Chairman), JA Burbidge, AD Greenwood, DN Lacey, JPN Simba, JIO Olubayi, G Kioi*



corporate governance (continued)

REMUNERATION

JN Gitoho (Chairman), JA Burbidge, A Van Heerden, JM Kituri, AD Greenwood*, J Muiruri*

*Members of management in attendance at the meetings.

RESPONSIBILITIES

These financial statements have been prepared in accordance with internationally accepted accounting practice, based on appropriate accounting policies which, except where stated, have been consistently applied and which are supported by reasonable judgements and estimates. Management ensures that adequate internal financial control systems are developed to provide reasonable certainty in respect of:

- the completeness and accuracy of accounting records;
- the integrity and reliability of the group annual financial statements; and
- the safeguarding of the assets of the group.

The Board is responsible for the group financial statements and integrity, objectivity and reliability thereof. The directors believe that the financial statements fairly present the financial position of the group as at the end of the financial year and the results of the operations and cash flow information for the year then ended. The Board has no reason to believe that the businesses within the Group will not be going concerns into the foreseeable future.

The external auditors are responsible for independently examining and expressing an opinion on the reasonableness of the financial statements based on their audit. The auditors' report is set out on page 17.

A handwritten signature in dark ink, appearing to read "JPN Simba".

JPN Simba

Chairman
14th April 2003

A handwritten signature in dark ink, appearing to read "AD Greenwood".

AD Greenwood

Executive Director
14th April 2003



statement of directors' responsibilities

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the company and the group as at the end of the financial year and of the profit or loss of the group for that year. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of its loss. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of the financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least the twelve months from the date of this statement.

A handwritten signature in black ink, appearing to be "JPN Simba".

JPN Simba
Chairman

14th April 2003

A handwritten signature in black ink, appearing to be "AD Greenwood".

AD Greenwood
Director

14th April 2003



report of the auditors to the members of Pan Africa Insurance Holdings Limited

report of the auditors

We have audited the financial statements set out on pages 19 to 51 which are in agreement with the books of account.

Respective responsibilities of directors and auditors

The directors are responsible for the preparation of financial statements as set out on page 16. Our responsibility is to express an independent opinion on the financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

We have obtained the information and explanations that to the best of our knowledge and belief were necessary to provide a reasonable basis for our opinion.

Opinion

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and company at 31 December 2002 and of the losses and cash flows of the group for the year then ended and comply with International Financial Reporting Standards and the Kenyan Companies Act.

PRICEWATERHOUSECOOPERS 

Certified Public Accountants

Nairobi

14th April 2003



report of the consulting actuary

report of the consulting actuary

Certificate of solvency in respect of life and pension policies of Pan Africa Life Assurance Limited

I have conducted a statutory actuarial valuation of the long-term business of Pan Africa Life Assurance Limited as at 31st December 2002.

This valuation has been conducted in accordance with generally accepted actuarial principles and in compliance with the requirements of the Insurance Act. These principles require prudent provision for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies. In completing the actuarial valuation, I have relied upon the audited financial statements of the Company.

In my opinion, the long-term business of Pan Africa Life Assurance Limited was financially sound and the actuarial value of the liabilities in respect of all classes of life insurance and pension fund business did not exceed the amount of the Statutory Insurance Funds as at 31st December 2002.

A handwritten signature in dark ink, appearing to read "JIO Olubayi".

JIO Olubayi

Fellow of the Institute of Actuaries

14th April 2003



consolidated profit and loss account

	Notes	2002 Shs.'000	2001 Shs.'000
INCOME			
Investment income	6(a)	70,394	30,718
TOTAL INCOME		70,394	30,718
OUTGO			
Loss transferred from General insurance business revenue accounts (page 21)		(47,615)	(106,850)
Exceptional items	8	(32,724)	(18,878)
Non-insurance subsidiaries' operating profits/(losses)		2,425	(64,396)
TOTAL OUTGO		(77,914)	(190,124)
Operating loss	3	(7,520)	(159,406)
Share of associate's results	18	1,068	1,303
Loss before tax		(6,452)	(158,103)
Tax (charge)/credit	9(a)	(9,162)	5,808
Loss attributable to the shareholders		(15,614)	(152,295)
Basic loss per share	10	Shs. (0.33)	Shs. (3.17)
Dividends:			
Proposed		—	—



long term insurance business revenue accounts - (group)

long term insurance business revenue

	Notes	Individual Life Shs.'000	Group Life Shs.'000	Pension funds Shs.'000	General fund Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000 (Restated)
INCOME							
Gross premium income	5	355,219	221,401	24,269	-	600,889	473,161
Net premium income	5	354,878	23,572	24,269	-	402,719	421,132
Investment income	6(b)	128,533	9,333	11,693	3,702	153,261	79,622
Total income		483,411	32,905	35,962	3,702	555,980	500,754
Commissions		84,760	(27,579)	-	-	57,181	62,282
Selling expenses		48,109	429	-	-	48,538	43,453
Expenses of Management		141,901	16,382	-	-	158,283	132,038
Loss on revaluation of fixed assets	11	2,430	-	-	70	2,500	-
Premium tax		5,202	3,107	-	-	8,309	6,999
Total expenses		282,402	(7,661)	-	70	274,811	244,772
Excess of income over expenses		201,009	40,566	35,962	3,632	281,169	255,982
Policyholders' benefits	7	(147,284)	(34,277)	(23,599)	-	(205,160)	(155,649)
Claim reserves release to the life fund		4,018	-	-	-	4,018	23,827
Income from normal operations		57,743	6,289	12,363	3,632	80,027	124,160
Tax charge	9(b)	-	-	-	-	-	-
Income from normal operations after tax		57,743	6,289	12,363	3,632	80,027	124,160
Exceptional items							
Provision for PAYE and WHT arrears	8	(8,811)	-	-	-	(8,811)	-
Retrenchment costs		-	-	-	-	-	(4,594)
Investment property impairment charge	13	-	-	-	-	-	(169,811)
		(8,811)	-	-	-	(8,811)	(174,405)
Increase/(decrease) in funds during the year	3	48,932	6,289	12,363	3,632	71,216	(50,245)
Life funds at 1 January							
- as previously reported		900,805	90,114	96,502	25,946	1,113,367	866,612
- reclassification of leasehold land	12	(100,943)	-	-	-	(100,943)	(100,943)
- as restated		799,862	90,114	96,502	25,946	1,012,424	765,669
Transfer from shareholders' funds	29 (a)	100,943	-	-	-	100,943	297,000
Intra-funds transfer	29 (a)	(45,321)	(6,108)	-	51,429	-	-
Life funds at 31 December	29	904,416	90,295	108,865	81,007	1,184,583	1,012,424



general insurance business revenue accounts (group)
general insurance business revenue accounts (group)

	Motor Pool	Aviation	C.A.R. & Engineering	Fire Domestic	Fire Industrial	Liability Insurance	Marine & Transit	Motor Private	Motor Commercial	Medical Insurance	Personal Accident	Theft Insurance	Workmen's Compensation	Misc. Accident	Total 2002	Total 2001
	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000	Shs.'000
Net Written Premium	-	6,663	2,764	7,271	33,929	2,580	2,004	64,607	117,468	(3,159)	23,139	18,623	14,496	1,796	292,181	310,260
Unearned premium b/f	-	1,486	573	3,537	10,811	752	1,278	24,180	42,353	8,419	4,150	4,574	5,880	752	108,745	92,704
Unearned premium c/f	-	(2,518)	(748)	(3,716)	(14,235)	(803)	(513)	(23,886)	(43,834)	(2,653)	(3,684)	(5,606)	(6,215)	(444)	(108,855)	(108,745)
Net Earned Premium	-	5,631	2,589	7,092	30,505	2,529	2,769	64,901	115,987	2,607	23,605	17,591	14,161	2,104	292,071	294,219
Claims Paid	505	605	879	1,489	6,690	(389)	6,685	45,264	41,026	17,127	1,376	7,777	8,434	1,569	139,037	176,723
Claims expenses	22	113	22	71	821	70	445	2,230	4,296	979	533	506	398	1,658	12,164	9,909
Claims outstanding c/f	6,379	1,391	1,006	3,536	8,186	17,369	6,762	87,660	173,888	2,339	17,753	20,954	33,009	875	381,107	356,544
Claims outstanding b/f	(8,875)	-	(738)	(1,904)	(7,851)	(18,270)	(12,781)	(74,278)	(162,560)	(10,927)	(12,705)	(13,804)	(30,609)	(1,242)	(356,544)	(347,674)
Claims Incurred	(1,969)	2,109	1,169	3,192	7,846	(1,220)	1,111	60,876	56,650	9,518	6,957	15,433	11,232	2,860	175,764	195,502
Commission	-	(2,795)	68	1,316	1,311	540	130	6,142	10,986	(20,348)	3,611	1,454	3,025	(21)	5,419	26,993
Movement in Deferred acquisition costs	-	(78)	(33)	156	(669)	(6)	173	360	299	1,153	225	(55)	3	40	1,568	(2,735)
Expenses	-	11,464	2,314	2,687	23,065	808	3,049	17,860	37,479	(2,615)	8,266	8,684	4,040	628	117,729	134,167
Premium tax & levies	-	752	97	176	1,336	39	200	1,172	2,458	(172)	540	554	261	39	7,452	8,823
Total Commission and Expenses	-	9,343	2,446	4,335	25,043	1,381	3,552	25,534	51,222	(21,982)	12,642	10,637	7,329	686	132,168	167,248
Technical (loss) / profit	1,969	(5,821)	(1,026)	(435)	(2,384)	2,368	(1,894)	(21,509)	8,115	15,071	4,006	(8,479)	(4,400)	(1,442)	(15,861)	(68,531)
Provision for doubtful debts															(31,754)	(38,319)
Underwriting loss															(47,615)	(106,850)



consolidated balance sheet

	Notes	Long term Insurance Business Shs. '000	General Insurance Business Shs. '000	Shareholders' funds Shs. '000	Total 2002 Shs. '000	Total 2001 (Restated) Shs. '000
CAPITAL EMPLOYED						
Share capital	25	-	-	240,000	240,000	240,000
Share premium	26	-	-	364,431	364,431	364,431
Revaluation reserves	27	-	-	44,535	44,535	(1,756)
Retained earnings	28	-	-	238,726	238,726	283,824
Assigned capital	19	527,261	360,431	(887,692)	-	-
Transfer to Life funds	29 (a)	(397,943)	-	-	(397,943)	(297,000)
Shareholders' funds		129,318	360,431	-	489,749	589,499
Statutory funds	29(a)	1,103,576	-	-	1,103,576	986,478
General fund	29 (c)	81,007	-	-	81,007	25,946
Total life funds		1,184,583	-	-	1,184,583	1,012,424
Total capital, reserves and long term funds		1,313,901	360,431	-	1,674,332	1,601,923
REPRESENTED BY:						
INVESTMENTS						
Government Securities	14	561,200	50,663	-	611,863	470,900
Investment properties	13	274,750	339,000	-	613,750	606,189
Investment in associated company	18	-	28,704	-	28,704	25,143
Quoted shares	15	48,576	1,831	-	50,407	53,759
Unquoted shares	16	-	90,107	-	90,107	70,870
Mortgage loans	20	55,784	98,804	-	154,588	144,794
Policy loans	21	75,342	-	-	75,342	78,835
Bank balances, deposits and cash	23	160,597	67,118	-	227,715	306,663
Commercial Paper		85,100	-	-	85,100	41,700
		1,261,349	676,227	-	1,937,576	1,798,853
NON-CURRENT ASSETS						
Property and equipment	11	134,920	83,332	-	218,252	236,222
Prepaid operating lease rentals	12	3,464	7,246	-	10,710	15,226
Other non-current assets (plot debtors)		-	3,670	-	3,670	-
		138,384	94,248	-	232,632	251,448



consolidated balance sheet (continued)

	Notes	Long term Insurance Business Shs.'000	General Insurance Business Shs.'000	Shareholders' funds Shs.'000	Total 2002 Shs.'000	Total 2001 (Restated) Shs.'000
CURRENT ASSETS						
Outstanding premiums		132,761	131,986	-	264,747	258,755
Due from reinsurers		2,441	153,604	-	156,045	134,822
Other receivables	24	55,440	56,192	-	111,632	169,356
Land & development	22	-	37,545	-	37,545	38,242
Tax recoverable		-	14,598	-	14,598	20,860
		<u>190,642</u>	<u>393,925</u>	<u>-</u>	<u>584,567</u>	<u>622,035</u>
Total assets		<u>1,590,375</u>	<u>1,164,400</u>	<u>-</u>	<u>2,754,775</u>	<u>2,672,336</u>
LIABILITIES						
Technical provisions						
Unearned premiums		-	108,855	-	108,855	108,744
Outstanding claims		73,216	381,106	-	454,322	427,409
		<u>73,216</u>	<u>489,961</u>	<u>-</u>	<u>563,177</u>	<u>536,153</u>
Non-current liabilities						
Deferred tax liability	30	-	85,672	-	85,672	96,062
Other liabilities						
Due to reinsurers		59,561	68,840	-	128,401	96,856
Other payables	31	116,569	129,250	-	245,819	217,394
Current tax		-	15,017	-	15,017	29,753
Borrowings	32	27,128	-	-	27,128	75,275
Unclaimed dividends		-	15,229	-	15,229	18,920
		<u>203,258</u>	<u>228,336</u>	<u>-</u>	<u>431,594</u>	<u>438,198</u>
Total liabilities		<u>276,474</u>	<u>803,969</u>	<u>-</u>	<u>1,080,443</u>	<u>1,070,413</u>
		<u>1,313,901</u>	<u>360,431</u>	<u>-</u>	<u>1,674,332</u>	<u>1,601,923</u>

The financial statements on pages 19 to 51 were approved for issue by the board of directors on 14th April 2003 and are signed on its behalf by:

JPN Simba
Chairman
14th April 2003

AD Greenwood
Director
14th April 2003



company balance sheet

	Note	Total 2002 Shs.'000	Total 2001 (Restated) Shs.'000
CAPITAL EMPLOYED			
Share capital	25	240,000	240,000
Share premium	26	364,431	364,431
Revaluation reserves	27(b)	-	(32,889)
Retained earnings		671,795	363,565
Transfer to Life funds	29	(397,943)	(297,000)
Shareholders' funds		878,283	638,107
Statutory funds	29	-	986,478
General fund	29	-	25,946
Total life funds		-	1,012,424
Total capital, reserves and long term funds		878,283	1,650,531
REPRESENTED BY:			
INVESTMENTS IN SUBSIDIARIES			
Pan Africa Life Assurance Limited	17	230,261	-
Pan Africa General Insurance Limited	17	679,009	-
		909,270	-
OTHER INVESTMENTS			
Government Securities		-	470,900
Investment properties	13	-	583,189
Investment in associated company		-	25,143
Quoted shares		-	53,759
Unquoted shares	16	-	164,303
Mortgage loans		-	144,794
Policy loans		-	78,835
Bank balances, deposits and cash	23	-	300,018
Commercial Paper		-	41,700
		-	1,862,641



company balance sheet (continued)

	Note	Total 2002 Shs. '000	Total 2001 (Restated) Shs. '000
NON-CURRENT ASSETS			
Property and equipment	11	-	158,329
Prepaid operating lease rentals	12	-	15,226
		-	173,555
CURRENT ASSETS			
Outstanding premiums		-	258,755
Due from reinsurers		-	134,822
Other receivables		-	165,435
Tax recoverable		13,680	16,129
		13,680	575,141
Total assets		922,950	2,611,337
LIABILITIES			
Technical provisions			
Unearned premiums		-	108,744
Outstanding claims		-	427,409
		-	536,153
Non-current liabilities			
Deferred tax liability	30	-	61,932
Other liabilities			
Due to reinsurers		-	96,856
Other payables		29,438	171,665
Borrowings		-	75,275
Unclaimed dividends		15,229	18,925
Sub total		44,667	362,721
Total liabilities		44,667	960,806
		878,283	1,650,531

The financial statements on pages 19 to 51 were approved for issue by the board of directors on 14th April 2003 and are signed on its behalf by

JPN Simba
Chairman
14th April 2003

AD Greenwood
Director
14th April 2003



consolidated statement of changes in equity

	Notes	Share capital Shs.'000	Share premium Shs.'000	Revaluation reserves Shs.'000	Retained earnings Shs.'000	Total Shs.'000
Year ended 31 December 2001						
At start of year :						
As previously reported		240,000	364,431	242,291	703,734	1,550,456
- Reclassification of leasehold land	12	-	-	-	(205,120)	(205,120)
- Deferred tax on investment property gains	30	-	-	-	(66,043)	(66,043)
As restated		240,000	364,431	242,291	432,571	1,279,293
Fair value loss on quoted shares		-	-	(12,784)	-	(12,784)
Restatement of land and development to historical cost		-	-	(227,715)	-	(227,715)
Transfer of excess depreciation		-	-	(5,068)	5,068	-
Deferred tax on transfer		-	-	1,520	(1,520)	-
Net losses not recognised in income statement		-	-	(244,047)	3,548	(240,499)
Net loss for the year		-	-	-	(152,295)	(152,295)
At end of year		240,000	364,431	(1,756)	283,824	886,499
Year ended 31 December 2002						
At start of the year						-
- As previously reported		240,000	364,431	(1,756)	554,987	1,157,662
- Reclassification of leasehold land	12	-	-	-	(205,120)	(205,120)
- Deferred tax on investment property gains	30	-	-	-	(66,043)	(66,043)
As restated		240,000	364,431	(1,756)	283,824	886,499
Transfer of excess depreciation	27	-	-	(3,676)	3,676	-
Deferred tax on transfer	27	-	-	1,319	(1,319)	-
Revaluation surplus on Property and equipment	27	-	-	11,153	-	11,153
Deferred tax on revaluation	27	-	-	(2,499)	-	(2,499)
Fair value gain on unquoted investment	27	-	-	8,523	-	8,523
Fair value loss on quoted investment	27	-	-	(370)	-	(370)
Released on disposal of shares		-	-	31,839	(31,839)	-
Net gains not recognised in income statement		-	-	46,291	(29,484)	16,807
Net loss for the year		-	-	-	(15,614)	(15,614)
At end of year		240,000	364,431	44,535	238,726	887,692



company statement of changes in equity

	Notes	Share capital Shs.'000	Share premium Shs.'000	Revaluation reserves Shs.'000	Retained earnings Shs.'000	Total Shs.'000
Year ended 31 December 2001						
At start of year:						
As previously reported		240,000	364,431	(20,105)	728,288	1,312,614
- Reclassification of leasehold land	12	-	-	-	(205,120)	(205,120)
- Deferred tax on investment property gains	30	-	-	-	(66,043)	(66,043)
As restated		240,000	364,431	(20,105)	457,125	1,041,451
Fair value losses on quoted shares		-	-	(12,784)	-	(12,784)
Net loss for the year		-	-	-	(93,560)	(93,560)
At end of the year		240,000	364,431	(32,889)	363,565	935,107
Year ended 31 December 2002						
At start of the year:						
At start of year (as restated)		240,000	364,431	(32,889)	363,565	935,107
Realised on disposal of quoted shares	27	-	-	32,889	(32,889)	-
Profit / (loss) for the year		-	-	-	341,119	341,119
At end of year		240,000	364,431	-	671,795	1,276,226



general insurance business consolidated cash flow statement

	Notes	Group 2002 Shs. '000	2001 Shs. '000
Cash flow from operating activities			
Loss before tax		(6,452)	(158,103)
Adjustment for:			
Depreciation		17,293	25,311
Fair value losses on investment properties		4,000	31,527
Impairment charge on fixed assets		19,142	7,956
Investment income received		(73,994)	(32,021)
Operating loss before working capital changes		(40,011)	(125,330)
Increase in current assets		59,042	(6,825)
(Decrease) / increase current liabilities		(42,244)	105,851
Premiums and claims reserves		24,670	24,909
Cash generated from operations		1,457	(1,395)
Income taxes paid		(30,138)	(30,827)
Net cash used in operating activities		(28,681)	(32,222)
Cash flow from financing activities			
Dividends paid		(3,697)	(85)
Net cash flow from financing activities		(3,697)	(85)
Cash flows from investing activities			
Investment income received		73,994	33,424
Purchase of property, plant & equipment		(3,142)	(6,812)
Mortgage loans redeemed (issued)		(7,433)	(18,365)
Net sale / (purchase) of shares		(2,657)	-
Net redemptions of Government securities		13,737	1,250
Net cash from investing activities		74,499	9,497
Net increase /(decrease) from cash and cash equivalents		42,121	(22,810)
Cash and cash equivalents at start of year		24,997	47,807
Cash and cash equivalents at end of year	23	67,118	24,997



principal accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below:

(a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards. The financial statements are presented in Kenya Shillings (Shs) and prepared under the historical cost convention, as modified by the revaluation of certain property and equipment, and the carrying of investment properties and available-for-sale investments at fair value.

The preparation of financial statements in conformity with generally accepted accounting principles requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

(b) Group Accounting

(i) Subsidiary undertakings

Subsidiary undertakings, which are those entities in which the Group has an interest of more than one half of the voting rights or otherwise has power to exercise control over the operations, are consolidated. Subsidiaries are consolidated from the date on which control is transferred to the Group and are no longer consolidated from the date that control ceases. All inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated; unrealised losses are also eliminated unless cost cannot be recovered. Where necessary, accounting policies for subsidiaries have been changed to ensure consistency with the policies adopted by the Group.

(ii) Associated undertakings

Investments in associated undertakings are accounted for by the equity method of accounting. These are undertakings over which the Group generally has between 20% and 50% of the voting rights, or over which the Group has significant influence, but which it does not control. Unrealised gains on transactions between the Group and its associated undertakings are eliminated to the extent of the Group's interest in the associated undertakings.

Equity accounting is discontinued when the carrying amount of the investment in an associated undertaking reaches zero, unless the Group has incurred obligations or guaranteed obligations in respect of the associated undertaking.

(c) Underwriting results

General insurance business

The underwriting results for general business are determined on an annual basis whereby the incurred cost of claims, commission and related expenses are charged against the earned proportion of premiums, net of reinsurance, as follows:

- (i) Premiums written relate to risks assumed during the year, and include estimates of premiums due but not yet received, less an allowance for cancellations.
- (ii) Unearned premiums represent the proportion of the premiums written in periods up to the accounting date which relate to the unexpired terms of policies in force at the balance sheet date, and are calculated using the 1/365ths method.
- (iii) Claims incurred comprise claims paid in the year, claims handling expenses and changes in the provision for outstanding claims. Claims paid represent all payments made during the year, whether arising from events during that or earlier years. Outstanding claims represent the estimated ultimate cost of settling all claims arising from incidents occurring prior to the balance sheet date, but not settled at that date. Outstanding claims are computed on the basis of the best information available at the time the records for the year are closed, and include provisions for claims incurred but not reported (IBNR).
- (iv) Expenses and commission are allocated to the relevant revenue accounts as incurred in the management of each class of business. Commission is shown net of commission received in respect of reinsurance business ceded. The portion of commissions which relates to the unexpired terms of policies in force at the balance sheet date is deducted and treated as deferred acquisition costs.

Long term insurance business

- (i) Premiums written relate to risks assumed during the year, and include estimates of premiums due but not yet received, less an allowance for estimated lapses.



The full annual premium income is recognised in respect of ordinary life recurring policy contracts on policy anniversary dates, after making provision for policy lapses and other terminations. Group life and pension contributions are recognised as income when received.

- (ii) Claims arising on maturity are recognised when the claim becomes due for payment. Death claims are accounted for on notification. Surrenders are accounted for on payment.
- (iii) Expenses and commissions are allocated to the life fund as incurred in the management of the long term business. Commissions are shown net of commissions received in respect of reinsurance business.
- (iv) The life fund is assessed annually by the group's consulting actuaries. Surpluses arising are allocated by the directors on the advice of the actuaries and in accordance with the Insurance Act and Articles of Association, to policyholders' bonuses and the profit and loss account. Any balance remaining is carried forward in the life fund.

(d) Property and equipment

All property and equipment is initially recorded at cost. Land and buildings are subsequently shown at market value, based on periodic valuations by external independent valuers, less subsequent depreciation. All other property and equipment is stated at historical cost less depreciation.

Increases in the carrying amount of land and buildings arising on revaluation are credited to the life fund for properties held by the long term business, and to the revaluation reserve for properties held by the short term business of the Group. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

Buildings	25 - 40 years
Equipment	3 - 8 years
Motor vehicles	4 years

Freehold land is not depreciated as it is deemed to have an indefinite life.

Property and equipment is periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

(e) Investment property

Investment properties comprise land and buildings and parts of buildings held to earn rentals and/or for capital appreciation. They are treated as long term investments and carried at fair value, representing market value determined annually by external independent valuers. Investment properties are not subject to depreciation. Changes in their carrying amount between balance sheet dates are processed, net of deferred tax, through the profit and loss account for assets attributable to the general business, and through the long-term revenue account for assets attributable to the long term business. On disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit and loss account for investment property held by the short term business, and to the life fund for investment property held by the long term business.

(f) Other investments

All purchases and sales of investments are recognised on the trade date, which is the date the Group commits to purchase or sell the asset. The cost of purchase includes transaction costs. The group subsequently determines the appropriate classification of its investments and re-evaluates such designation on a regular basis; the classification is dependent on the purpose for which the investments are acquired.

Investments with fixed maturity that the group has the intent and ability to hold to maturity are classified as held-to-maturity and are carried at amortised cost. Non-equity investments purchased in the primary market (i.e. directly from the issuer) are classified as originated loans, and are carried at amortised cost. Investments intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale and are carried at fair value.

Investments are classified and carried at values as follows:

- (i) Quoted shares are classified as available-for-sale investments and are carried at fair value. Their fair value is calculated by reference to the stock exchange quoted bid prices at the close of business on the balance sheet date.



- (ii) Unquoted investments are classified as available-for-sale investments. They are shown at fair value unless their value cannot be reliably measured, when they are carried at cost less provision for impairment.
- (iii) Securities issued by the Kenya Government are classified as originated loans. They are carried at amortised cost (i.e. cost plus accrued discount or interest) and any premium or discount is amortised through income, using the effective yield method.
- (iv) Fixed deposits and commercial paper are classified as originated loans. These are carried at amortised cost (i.e. cost plus accrued income), using the effective yield method.

Fair value gains/(losses) arising on investments held by the general business are credited/(debited) to the profit and loss account; gains/(losses) in respect of investments held by the long term business are dealt with in the life fund.

(g) Investment income

Investment income is stated net of investment expenses. Interest income is recognised on a time proportion basis that takes into account the effective yield on the asset. Dividends are recognised as income in the period in which the right to receive payment is established. Rental income is recognised as income in the period in which it is earned.

Income arising on investments held by the long term business is taken up in the long term revenue account whilst income derived from investments held by the general business is credited to the profit and loss account.

(h) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise.

(i) Accounting for leases

Leases of assets where a significant proportion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to income on a straight-line basis over the period of the lease.

(j) Receivables

Outstanding premiums and amounts due from reinsurers are carried at amortised invoice amount less provision for impairment. A provision for impairment is established when there is objective evidence that the group will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the recoverable amount, being the present value of expected cash flows, discounted at the market rate of interest for similar borrowers.

(k) Employee entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

(l) Deferred tax

Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

(m) Retirement benefit obligations

The group operates a defined contribution scheme for eligible employees. The assets of the scheme are held in separate trustee administered funds, which are funded from contributions from both the company and employees.

The company's contributions to the defined contribution scheme are charged to the profit and loss account in the year to which they relate.

(n) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(o) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year and in particular, the comparatives have been adjusted to take into account the requirements of International Accounting Standards (IAS) no 17 and 12 which respectively deal with the reclassification of leasehold land and the recognition of deferred tax on investment property fair value gains.



notes forming part of the financial statements

1 Restructuring of the Company

The restructuring of the company approved at an Extra-ordinary General Meeting of the company held on 8 December 2000 was completed in 2002. Through the Office of the Commissioner of Insurance, the Minister of Finance granted the approval to the restructuring with an effective date of 1st January 2002.

The name of the company has been changed from Pan Africa Insurance Company Limited to Pan Africa Insurance Holdings Limited with effect from 1st January 2002.

Two wholly owned subsidiary companies, Pan Africa Life Assurance Limited and Pan Africa General Insurance Limited were incorporated to take over the Long term and General insurance business formerly conducted by Pan Africa Insurance Holdings Limited. Substantially all of the assets and liabilities of the company were transferred to the subsidiaries with effect from 1st January 2002, based on the shareholders' funds for the respective businesses at 31 December 2001, but before recording the adjustments in respect of the reclassification of leasehold land (note 12).

2 Segment information: Business segments

The core activity of the group is carrying out general and long term insurance business in Kenya. Certain of the group companies conduct other types of business and the Groups' activities could therefore be organised into three main business segments namely; insurance business, sale of plots and distribution of water and estate management.

The information on long-term insurance business is disclosed in the long-term insurance business revenue account which is part of the primary financial statements. The following segment information is given in respect of the other business segments of the group:

	General Insurance business Shs'000	Sale of plots Shs'000	Distribution of water and estate management Shs'000	Total Shs'000
Year ended 31 December 2002:				
Premium / Turnover	292,181	4,206	6,802	303,189
Segment operating (loss)/profit	(6,790)	3,422	(4,152)	(7,520)
Share of associate's profits	1,068	-	-	1,068
Loss before tax	(5,722)	3,422	(4,152)	(6,452)
Tax	(15,964)	7,400	(598)	(9,162)
Net Loss	(21,686)	10,822	(4,750)	(15,614)
Segment assets	1,075,743	68,640	20,017	1,164,400
Segment liabilities	757,707	31,028	15,234	803,969
Capital expenditure	2,782	-	-	2,782
Depreciation	13,397	3,532	364	17,293
Year ended 31 December 2001:				
Premium / Turnover	310,260	29,823	30,764	370,847
Segment operating loss	(95,010)	(53,735)	(10,661)	(159,406)
Share of associate's profits	1,303	-	-	1,303
Loss before tax	(93,707)	(53,735)	(10,661)	(158,103)
Tax	147	4,042	1,619	5,808
Net Loss	(93,560)	(49,693)	(9,042)	(152,295)
Segment assets	1,259,303	98,108	81,977	1,439,388
Segment liabilities	690,365	83,783	16,980	791,128
Capital expenditure	10,091	114	839	11,044
Depreciation	13,935	3,081	8,295	25,311



3 Operating loss and changes in the life funds

The following items have been charged in arriving at operating loss and increase in Life funds:

	Long-term insurance business Shs'000	General insurance business Shs'000	Total 2002 Shs'000	Total 2001 Shs'000
(a) Group				
Depreciation (Note 11)	14,085	17,293	31,378	41,248
Impairment provision on fixed assets (Note 11)		19,142	19,142	7,956
Auditors' remuneration	1,715	2,286	4,001	4,904
Staff costs (Note 4)	94,893	70,872	165,765	175,226
Amortisation of prepaid operating leases (Note 12)	4,382	134	4,516	4,211
Company				
Depreciation	-	-	-	29,873
Auditors' remuneration	-	-	-	4,384
Staff costs	-	-	-	166,525

4 Staff costs

	Group 2002 Shs'000	Group 2001 Shs'000	Company 2002 Shs'000	Company 2001 Shs'000
The following items are included within staff costs:				
Salaries and wages	155,203	165,826	-	72,216
Social security costs	543	343	-	89
Pension costs-defined contribution plan	10,018	9,057	-	8,766
The number of persons employed at year end was:	Number	Number	Number	Number
Full time staff	153	180	-	172
Part time staff	1	66	-	4

5 Long term insurance business premium income

	Individual Life Shs'000	Group Life Shs'000	Deposit Administration Shs'000	Total 2002 Shs'000	Total 2001 Shs'000
Gross premium income	355,219	221,401	24,269	600,889	473,161
Reassurance premium ceded	(341)	(197,829)	-	(198,170)	(52,029)
Net premium Income	354,878	23,572	24,269	402,719	421,132



6 Investment Income (Group)

(a) General insurance business

	Total 2002 Shs'000	Total 2001 Shs'000
Interest received	17,937	27,063
Property rentals	52,450	32,466
Dividends received	3,607	2,716
Loss on disposal of quoted shares	(1,100)	-
Fair value loss on investment properties	(2,500)	(31,527)
Total	70,394	30,718

(b) Long term insurance business

	Individual Life Shs'000	Super Annuation Shs'000	General Fund Shs'000	Total 2002 Shs'000	Total 2001 Shs'000
Interest received	41,505	19,710	1,195	62,410	86,230
Property rentals	51,033	2,455	1,470	54,958	57,546
Dividends received	3,544	-	102	3,646	4,444
Other income	2,851	-	82	2,933	120
(Loss)/surplus on disposal of fixed assets	(222)	-	(6)	(228)	195
Foreign exchange loss	(1,078)	-	(31)	(1,109)	-
Fair value gain on quoted shares (note 15)	15,194	-	438	15,632	16
Gross investment income	112,827	22,165	3,250	138,242	148,551
Expenses					
Fund management fees	(2,831)	(524)	(82)	(3,437)	-
Custodial fees	(720)	(353)	(21)	(1,094)	-
Property expenses	(25,271)	(262)	(728)	(26,261)	(48,364)
Total investment expenses	(28,822)	(1,139)	(831)	(30,792)	(48,364)
Investment income before revaluation of investment properties	84,005	21,026	2,419	107,450	100,187
Fair value gain on investment properties	44,528	-	1,283	45,811	(20,565)
Total investment income	128,533	21,026	3,702	153,261	79,622

Of the Shs..21,026,000 shown under Superannuation business, Shs.11,693,000 and Shs. 9,333,000 relates to investment income generated by Pension funds and Group Life respectively as shown on the long term insurance business revenue accounts.

7 Policyholder benefits (Group)

	Individual Life Shs'000	Group Life Shs'000	Pension Funds Shs'000	Total 2002 Shs'000	Total 2001 Shs'000
Gross death and disability claims	20,975	138,717	-	159,692	81,089
Less: Amounts recovered from reinsurers	-	(106,195)	-	(106,195)	(59,926)
Net death and disability claims	20,975	32,522	-	53,497	21,163
Maturities & pension claims	58,210	1,137	23,599	82,946	65,384
Surrenders and bonuses	17,378	339	-	17,717	22,766
Annuities	50,721	279	-	51,000	46,336
Net policyholder benefits paid	147,284	34,277	23,599	205,160	155,649



8 Exceptional items

	Long-term insurance business Shs'000	General Insurance business Shs'000	Total 2002 Shs'000	Total 2001 Shs'000
Provision for PAYE and Withholding tax	8,811	19,786	28,597	-
Staff retrenchment costs	-	-	-	21,322
Restructuring expenses	-	12,938	12,938	2,150
Investment property impairment charge	-	-	-	169,811
	<u>8,811</u>	<u>32,724</u>	<u>41,535</u>	<u>193,283</u>

During the year, the Kenya Revenue Authority conducted a compliance audit covering the 1998 to 2001 years of income. A final assessment was issued in early 2003 relating to PAYE and Withholding tax arrears. Although the Company has lodged a formal objection with the Commissioner of Income Tax, a provision of Shs 28.6million has been made to cover any tax liability arising therefrom.

The staff retrenchment costs in 2001 arose out of the closure of the in-house property department and the outsourcing of the management of the property portfolio to Knight Frank, a professional property management firm, as well as a reorganisation of staff in the general business division.

Restructuring expenses for 2001 were incurred on fees for professional advice for the planned separation of the two lines of business to independent companies. Restructuring expenses in 2002 relate to the proposed consolidation of the General Insurance Business with that of Apollo Insurance Company Limited.

The investment property impairment charge in 2001 is discussed under note 13.

Exceptional items relating to the Long term insurance business have been charged to the individual life revenue account while those relating to General insurance business have been charged to the profit and loss account.

9 Tax

(a) General Insurance Business and non-insurance subsidiaries

	2002 Shs'000	2001 Shs'000
Current tax	14,664	266
Deferred tax (Note 30)	(12,887)	(7,315)
Current year tax charge / (credit)	1,777	(7,049)
Underprovision for current tax in prior years	7,000	-
Share of tax of associate (Note 18)	385	1,241
Tax charge/(credit)	9,162	(5,808)
The tax on the group's (loss)/profit before tax differs from the theoretical amount that would arise using the basic tax rates as follows:		
Loss before tax	(6,452)	(158,103)
Corporation tax at 30 %	(1,936)	(47,431)
Tax effect of :		
- Expenses not deductible for tax purposes	8,449	7,948
- Income not taxable	(6,386)	-
Deferred tax asset not recognised	2,035	33,675
Underprovision for tax in prior years	7,000	-
Tax charge/(credit)	9,162	(5,808)



(b) Long term business

Current tax

Deferred tax

Tax (credit)/ charge

2002 Shs'000	2001 Shs'000
-	-
-	-
-	-

The tax on the long term business income before tax differs from the theoretical amount that would arise using the basic tax rates as follows:

Increase in life funds before tax

Corporation tax at 30 %

Tax effect of :

- Expenses not deductible for tax purposes

- Income not taxable

Deferred tax asset not recognised (note 30)

Tax (credit)/ charge

80,027	124,160
24,008	37,248
68,124	39,547
(128,283)	(126,340)
36,151	49,545
-	-

10 Loss per Share

Basic loss per share is calculated by dividing the net loss attributable to shareholders by the weighted average number of ordinary shares in issue, as follows:

	Group	
	2002 Shs.'000	2001 Shs.'000
Net loss attributable to shareholders	(15,614)	(152,295)
Weighted average number of ordinary shares in issue (thousands)	48,000	48,000
Loss per share (Shs)	(0.33)	(3.17)

There were no potentially dilutive shares outstanding at 31 December 2001 and 31 December 2002.



11 Property and equipment

a) Group

	Land & buildings Shs.'000	Motor vehicles Shs.'000	Furniture, fixtures fittings Shs.'000	Computer Equipment Total Shs.'000	2002 Total Shs.'000
Cost or valuation:					
At start of year - as previously reported	270,327	15,528	258,810	46,138	590,803
- reclassification of leasehold land (note 12)	(113,000)	-	-	-	(113,000)
- as restated	157,327	15,528	258,810	46,138	477,803
Additions	362	1,820	13,525	8,309	24,016
Revaluation surplus / (deficit)					
- long term business	(2,500)	-	-	-	(2,500)
- general business (note 27)	1,738	-	-	-	1,738
Write off of fully depreciated assets	-	(4,500)	(58,304)	(28,274)	(91,078)
Impairment provision (note 11c)	(7,453)	-	-	-	(7,453)
Disposals	-	-	-	(117)	(117)
At end of year	149,474	12,848	214,031	26,056	402,409
Depreciation:					
At start of year - as previously reported	17,630	10,806	183,546	33,810	245,792
- reclassification of leasehold land (note 12)	(4,211)	-	-	-	(4,211)
- as restated	13,419	10,806	183,546	33,810	241,581
Charge for the year	11,211	2,330	11,414	6,423	31,378
Released on revaluation (note 27)	(9,413)	-	-	-	(9,413)
Impairment provision (note 11c)	-	1,406	10,079	204	11,689
Write off of fully depreciated assets	-	(4,500)	(58,304)	(28,274)	(91,078)
At end of year	15,217	10,042	146,735	12,163	184,157
At 31 December 2002	134,257	2,806	67,296	13,893	218,252
Comprising:					
Long-term insurance business	100,695	2,219	21,621	10,385	134,920
General insurance business	33,562	587	45,675	3,508	83,332
	134,257	2,806	67,296	13,893	218,252
At 31 December 2001 (as restated)	143,908	4,722	75,264	12,328	236,222



11 Property and equipment

b) Company

	Land & buildings Shs.'000	Motor vehicles Shs.'000	Furniture, fixtures & fittings Shs.'000	Computer Equipment Total Shs.'000	2002 Total Shs.'000
Cost or valuation:					
At start of year (as previously reported)	223,362	11,066	189,750	45,405	469,583
Reclassification of leasehold land (note 12)	(113,000)	-	-	-	(113,000)
As restated	110,362	11,066	189,750	45,405	356,583
Transfer to Pan Africa Life Assurance Limited	(110,362)	(2,962)	(123,923)	(15,044)	(252,291)
Transfer to Pan Africa General Insurance Limited	-	(8,104)	(65,827)	(30,361)	(104,292)
At end of year	-	-	-	-	-
Depreciation:					
At start of year (as previously reported)	7,861	7,061	154,313	33,230	202,465
Reclassification of leasehold land (note 12)	(4,211)	-	-	-	(4,211)
As restated	3,650	7,061	154,313	33,230	198,254
Released on transfer to Pan Africa Life Assurance Limited	(3,650)	(1,481)	(109,814)	(6,712)	(121,657)
Released on transfer to Pan Africa General Insurance Limited	-	(5,580)	(44,499)	(26,518)	(76,597)
At end of year	-	-	-	-	-
At 31 December 2002	-	-	-	-	-
At 31 December 2001					
- as restated	106,711	4,005	35,438	12,175	158,329

(c) The group incurred an impairment charge of Shs 19,142,000 during the year, as a result of a writedown of fixed assets in the company to their recoverable amount.

(d) No depreciation has been charged in arriving at the results for the year in respect of certain fixed assets with a gross value of Shs. 96,123,874 (2001-Shs. 121,899,523), which are in use but fully depreciated. If depreciation had been charged during the year on the gross value of the assets, it would have amounted to approximately Shs. 12,102,749 (2001-Shs. 14,811,740).



12 Prepaid operating lease rentals

During the year the International Accounting Standards Board and the Institute of Certified Public Accountants of Kenya clarified that all leasehold property should be accounted for as an operating lease and carried at amortised historical cost. Consequently, the group has reclassified leasehold land from property and equipment and investment properties, to prepaid operating lease rentals.

Previously recorded revaluation surpluses on leasehold land have been reversed during the year.

a) Group	Long-term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
Cost				
At start of the year - as previously reported	-	-	-	-
- reclassified from property and equipment (note 11)	108,789	-	108,789	108,789
- reclassified from investment property (note 13)	-	212,500	212,500	212,500
- reclassified from life funds/retained earnings	(100,943)	(205,120)	(306,063)	(301,852)
	<u>7,846</u>	<u>7,380</u>	<u>15,226</u>	<u>19,437</u>
As restated (at start and end of year)				
Amortisation				
Charge for the year	(4,382)	(134)	(4,516)	(4,211)
	<u>(4,382)</u>	<u>(134)</u>	<u>(4,516)</u>	<u>(4,211)</u>
At end of year	<u>3,464</u>	<u>7,246</u>	<u>10,710</u>	<u>15,226</u>
b) Company	Long-term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
Cost				
At start of the year - as previously reported	-	-	-	-
- reclassified from property and equipment/investment property (note 11,13)	108,789	212,500	321,289	321,289
- reclassified from life fund/retained earnings	(100,943)	(205,120)	(306,063)	(306,063)
- as restated	<u>7,846</u>	<u>7,380</u>	<u>15,226</u>	<u>15,226</u>
Less: transferred to subsidiary companies	(7,846)	(7,380)	(15,226)	-
At end of year	<u>-</u>	<u>-</u>	<u>-</u>	<u>15,226</u>



13 Investment properties

a) Group

	Long-term insurance business Shs.'000	General insurance business Shs.'000	2002 Shs.'000	2001 Shs.'000
At start of year				
- as previously reported	257,689	561,000	818,689	1,216,902
- reclassification to prepaid operating leases (Note 12)	-	(212,500)	(212,500)	(212,500)
- as restated	257,689	348,500	606,189	1,004,402
Additions during the year	2,250	-	2,250	16,191
Disposals during the year	(31,000)	(5,500)	(36,500)	-
Reclassification to property & equipment	-	-	-	(215,501)
Reclassification from property & equipment	-	-	-	27,000
Investment property impairment charge	-	-	-	(169,811)
Fair value gain/(loss) (note 6)	45,811	(4,000)	41,811	(56,092)
At end of year	274,750	339,000	613,750	606,189
Reconciliation of fair value gain / (loss) on investment properties:-				
Included in investment income (Note 6)	45,811	(2,500)	43,311	(52,092)
Included in subsidiaries' net profits on the Profit & Loss account	-	(1,500)	(1,500)	(4,000)
	45,811	(4,000)	41,811	(56,092)

(b) Company

At start of year				
- as previously reported	257,689	538,000	795,689	1,216,902
- reclassification to prepaid operating leases (Note 12)	-	(212,500)	(212,500)	(212,500)
- as restated	257,689	325,500	583,189	1,004,402
Additions during the year	-	-	-	16,191
Reclassification to property and equipment (note 12(b))	-	-	-	(215,501)
Investment property impairment charge	-	-	-	(169,811)
Fair value loss (note 6)	-	-	-	(52,092)
Transfer to Pan Africa Life Assurance	(257,689)	-	(257,689)	-
Transfer to Pan Africa General Insurance	-	(325,500)	(325,500)	-
At end of year	-	-	-	583,189

The revaluation of investment properties was carried out by Lloyd Masika Limited, professional independent valuers as at 31 December 2002. The basis of valuation was open market value. The fair value gains and losses arising from the revaluation have been credited to investment income for both Long-term and general insurance business as shown under note 6.

In 2001 certain properties belonging to the long-term insurance business valued at Shs..215.5m were reclassified to property and equipment from investment properties.

Further to the valuation of investment properties by professional independent valuers in 2001, the directors made a decision to provide for the impairment of certain investment properties to match the rental yields of the properties to their carrying value. This resulted in an impairment charge of Shs..169,811,000 shown as an exceptional item.



14 Government Securities - Group	Long-term insurance business Shs.'000	2002 General insurance business Shs.'000	Total 2002 Shs.'000	2001 Total Shs.'000
Treasury bills and bonds:				
Maturing within 91 days of the date of aquisition	158,950	24,563	183,513	75,600
Maturing in 91 days - 1 year	79,250	-	79,250	154,300
Maturing within 1 and 5 years	85,000	22,100	107,100	81,000
Maturing in over 5 years	<u>238,000</u>	<u>4,000</u>	<u>242,000</u>	<u>160,000</u>
	561,200	50,663	611,863	470,900

15 Quoted ordinary shares - Group	Long Term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
At start of year	39,523	14,236	53,759	66,526
Additions	10,260	-	10,260	-
Fair value gains/(losses)	15,632	(370)	15,262	(12,767)
Disposals	<u>(16,839)</u>	<u>(12,035)</u>	<u>(28,874)</u>	<u>-</u>
At end of year	48,576	1,831	50,407	53,759

The ordinary shares are revalued annually at the close of business on 31 December by reference to the Nairobi Stock Exchange quoted prices. The fair value gains and losses arising from the revaluation of the shares have been included in investment income in respect of long-term insurance business (Note 6(b)), and debited to the revaluation reserves in respect of general insurance business respectively (Note 27).

16 Unquoted ordinary shares

(a) Group

	Total 2002 Shs.'000	Total 2001 Shs.'000
At start of year:	70,870	70,870
Additional shares in the shares of East Africa Reinsurance Company Limited	13,053	-
Disposal of shares in East Africa Reinsurance Company Limited	(2,339)	-
Fair value gain (note 27)	<u>8,523</u>	<u>-</u>
At end of year	90,107	70,870

(b) Company

At start of year	164,303	164,303
Transfer to Pan Africa General Insurance Limited	<u>(164,303)</u>	<u>-</u>
At end of year	-	164,303

Comprising :

Investments in non-insurance subsidiary companies	-	93,433
Other unquoted investments	<u>-</u>	<u>70,870</u>
	-	164,303



17 Investment in subsidiary companies (Company)

Pan Africa Life Assurance Limited and Pan Africa General Insurance Limited are both wholly owned subsidiaries of Pan Africa Insurance Holdings Limited. As described in note 1, the two subsidiaries carry out the long term and general insurance business, respectively, previously carried out by Pan Africa Insurance Company Limited.

Pan Africa General Insurance Limited has the following subsidiary companies (all incorporated in Kenya):

Name of subsidiary	Shareholding	Principal activity
Mae Properties Limited	100%	Development and sale of plots of land
Runda Water Limited*	100%	Water distribution and estate management
Chem Chemi Limited*	100%	Dormant

(*sub-subsidiaries of Pan Africa General Insurance Limited, being wholly-owned subsidiaries of Mae Properties Limited)

In a board meeting held on 7th December 2002, the Board of Directors approved the sale of 74.9% of Pan Africa General Insurance Limited's interest in Runda Water Limited, and the sale of 100% of the Company's interest in Chem Chemi Mineral Water Limited. Both transactions are expected to be concluded in the course of 2003.

18 Investment in associated undertakings - Group

The associated company, Reliance Insurance Company Tanzania Limited, in which the Company has a 34% interest through Pan Africa General Insurance Limited is incorporated in Tanzania and conducts general insurance business.

	2002 Shs.'000	2001 Shs.'000
At start of year	25,143	25,081
Acquisition of additional interest	2,878	-
Share of results before tax	1,738	4,136
Adjustment for prior year audited profits	(670)	(2,833)
	1,068	1,303
Share of tax	(385)	(1,241)
At end of year	28,704	25,143

The net share of the results of the associated company, is based on audited accounts for the year ended 31st December 2002. The previous years' share was based on the unaudited management accounts, and an adjustment has been made in the current year following receipt of the prior year audited financial statements.

19 Assigned capital

In line with the objectives of the rights issue exercise concluded in 2000, it was the intention of the board to use the proceeds primarily to fund growth in the individual life business. The assignment of capital of Shs.527,261,000 to the Long term insurance business in 2001 included the net proceeds of the issue together with intra-business balances existing as at 1st January 2001. The assignment was based on the net assets of the two business sectors as at 1st January 2001.

The movement in the capital assigned to the General Insurance Business is as follows:

	2002 Shs.'000	2001 Shs.'000
At start of year	630,401	1,023,195
Net decrease arising from transactions in the year	(269,970)	(392,794)
At end of year	360,431	630,401



20 Mortgage loans - Group

	Long-term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
At start of year	53,423	91,371	144,794	114,633
Loans made	7,613	19,387	27,000	38,695
Loan repayments	(5,252)	(11,954)	(17,206)	(8,534)
At end of year	55,784	98,804	154,588	144,794
Amounts approved by the directors but not advanced as at 31 December	-	-	-	8,907
Maturity profile of mortgage loans				
Loans maturing :				
Within 1 year	325	273	598	1,237
In 1- 5 years	2,074	679	2,753	5,413
In over 5 years	53,385	97,852	151,237	138,144
	55,784	98,804	154,588	144,794
Loans at;				
Concessionary rates	55,071	65,843	120,914	133,945
Market rates	713	32,961	33,674	10,849
	55,784	98,804	154,588	144,794

21 Policy loans - Group

	Total 2002 Shs.'000	Total 2001 Shs.'000
At start of year	78,835	71,183
Loans made	34,225	32,992
Loan repayments	(37,718)	(25,340)
At end of year	75,342	78,835

22 Land and development - Group

	Total 2002 Shs.'000	Total 2001 Shs.'000
At start of year	38,242	253,124
Transfer from fixed assets	-	100,934
Restatement to historical cost	-	(315,806)
Cost of plots sold	(697)	(10)
At end of year	37,545	38,242



23 Bank balances, deposits and cash

	Group 2002 Shs.'000	Company 2002 Shs.'000	Group 2001 Shs.'000	Company 2001 Shs.'000
Cash at bank and in hand	73,173	-	76,138	69,493
Short term bank deposits	154,542	-	230,525	230,525
At end of year	227,715	-	306,663	300,018
Comprising;				
Long-term insurance business	160,597	-	256,432	256,432
General insurance business	67,118	-	50,231	43,586
	227,715	-	306,663	300,018

For the purposes of the general insurance business cash flow statement, the year-end cash and cash equivalents comprise the following:

	Group 2002 Shs.'000	Group 2001 Shs.'000'
Cash and bank balances	67,118	50,231
Bank overdraft	-	(25,234)
At end of year	67,118	24,997

24 Other receivables

(a) Group

	Long term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
Rent outstanding	15,652	3,488	19,140	29,210
Accrued Interest	14,177	6,838	21,015	4,249
Plot debtors	-	24,160	24,160	33,880
Cost of investment in the College of Insurance	-	1,171	1,171	1,171
Deferred acquisition costs	-	13,355	13,355	14,923
Sundry debtors and prepayments	25,611	7,180	32,791	85,923
At end of year	55,440	56,192	111,632	169,356

(b) Company

Rent outstanding	-	-	-	29,210
Accrued Interest	-	-	-	4,249
Cost of investment at the College of Insurance	-	-	-	1,171
Due from subsidiary company	-	-	-	40,356
Deferred acquisition costs	-	-	-	14,923
Sundry debtors and prepayments	-	-	-	75,526
At end of year	-	-	-	165,435

25 Share capital

	2002 Shs.'000	2001 Shs.'000
At start and end of year	240,000	240,000

The total authorised number of ordinary shares is 100,000 with a par value of Shs. 5 par share. The total number of ordinary shares in issue are 48,000 with a par value Shs. 5 per share.



26 Share premium

At start and end of year

2002 Shs'000	2001 Shs'000
364,431	364,431

27 Revaluation reserves

(a) Group

Quoted shares
Unquoted shares
Plant and machinery
Land and buildings
Waterworks
Reserves arising on consolidation

2002 Shs'000	2001 Shs'000
(1,418)	(32,889)
8,523	-
7,818	7,818
43,916	37,619
18,836	18,836
(33,140)	(33,140)
44,535	(1,756)

The movements in each category of reserves were as follows :

i) Quoted shares

At start of year
Released on disposal of shares
Fair value loss (Note 15)

At end of year

(32,889)	(20,105)
31,841	-
(370)	(12,784)
(1,418)	(32,889)

ii) Unquoted shares

At start of year
Fair value gains (Note 16)

At end of year

-	-
8,523	-
8,523	-

iii) Plant and machinery

At start and end of year

7,818	7,818
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iv) Land and buildings

At start of year
Revaluation surplus on property and equipment
Deferred tax on revaluation
Reclassification on transfer of assets to investment properties
Reclassification on transfer of fixed assets to land and development
Transfer of excess depreciation
Deferred tax on transfer

At end of year

37,619	156,307
11,153	-
(2,499)	-
-	(22,816)
-	(92,094)
(3,676)	(5,298)
1,319	1,520
43,916	37,619

v) Waterworks

At start and end of year

18,836	18,836
---------------	---------------

(b) Company

Quoted shares

At start of year
Fair value (loss)/gain (Note 15)
Released on transfer of shares to Pan Africa General Insurance Limited

At end of year

(32,889)	(20,105)
-	(12,784)
32,889	-
-	(32,889)



28 Retained earnings

Movements in retained earnings are set out in the statements of changes in equity on pages 26 and 27.

Retained earnings are comprised of

	Long term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
Group:				
Retained earnings relating to revaluation of investment properties	-	267,368	267,368	271,368
Other retained earnings (losses)	-	(28,642)	(28,642)	12,456
	<u>-</u>	<u>238,726</u>	<u>238,726</u>	<u>283,824</u>

Distribution of retained earnings of Pan Africa Insurance Holdings Limited and Pan Africa General Insurance Limited arising out of revaluation of investment properties is subject to restrictions imposed by the Commissioner of Insurance.

29 Life funds

(a) Statutory funds (Group)

	Individual Life Funds Shs.'000	Group Life Funds Shs.'000	Pension Funds Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
At start of year (as previously reported)	900,805	90,114	96,502	1,087,421	842,567
Reclassification of leasehold land	(100,943)	-	-	(100,943)	(100,943)
Transfer from shareholders' funds	100,943	-	-	100,943	297,000
Exceptional items	(8,811)	-	-	(8,811)	(174,405)
Increase during year from normal operations	57,743	6,289	12,363	76,395	122,259
Intra funds transfer	(45,321)	(6,108)	-	(51,429)	-
At end of year	<u>904,416</u>	<u>90,295</u>	<u>108,865</u>	<u>1,103,576</u>	<u>986,478</u>

b) Statutory funds (Company)

At start of year (as previously reported)	900,805	90,114	96,502	1,087,421	842,567
Reclassification of leasehold land	(100,943)	-	-	(100,943)	(100,943)
Transfer to Pan Africa Life Assurance	(799,862)	(90,114)	(96,502)	(986,478)	297,000
Exceptional items	-	-	-	-	(174,405)
Increase during the year from normal operations	-	-	-	-	122,259
At end of year	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>986,478</u>

The statutory funds, which comprise the individual life fund and superannuation funds, were established in 1990 by the Company in respect of its long term insurance business as required under Section 45 of the Insurance Act.

As described in Note 1, at 1st January 2001 the long term business previously written by the company was transferred to a wholly owned subsidiary of Pan Africa Insurance Holdings Limited, Pan Africa Life Assurance Limited.

The latest actuarial valuation of the life fund held by the subsidiary company was carried out by the consulting actuaries as at 31st December 2002 and revealed an actuarial surplus after allowing for interest and bonus declarations to members of deposit administration funds under management to with-profit policies respectively. The directors, after consultation with the actuaries, have transferred Shs.51,429,000 from the statutory funds to the general fund.



The previous actuarial valuation as at 31st December 2001 indicated that although the group life and pension lines business revealed healthy actuarial surpluses, individual life business indicated an actuarial deficit arising mainly from new business strain. The deficit in the life fund was increased further by the decision of the directors to recognise an impairment charge on certain investment properties amounting Shs.169,800,000 as well as a 4% bonus declaration to with profits individual life policies. In order to finance the deficit in the year as well as the current and new business strain that was expected to be generated over the period to 30th June, 2002, the directors authorised a transfer of Shs..297,000,000 from shareholders' funds to the individual life fund. These funds form part of the rights issue proceeds of 2001 specifically raised to grow the individual life business.

During 2002 a further Shs. 100,943,000 was transferred from the shareholders funds to the life funds, following the write down of leasehold properties as described in note 12. Thus the total transfer from the shareholders funds to the individual life fund as at 31st December 2002 amounted to Shs. 397,943,000.

(c) General Fund

The general fund represents a reserve maintained within the long-term insurance business, and represents unallocated surpluses from previous actuarial valuations. Transfers from this fund to the profit and loss account and the statutory funds are made upon recommendation of the actuary. The movements in the general fund are shown on page 20.

30 Deferred tax (asset)/liability:

Deferred tax is calculated, in full, on all temporary differences using a principal tax rate of 30% The movement on the deferred tax account is as follows:

	Group 2002 Shs.'000	Group 2001 Shs.'000	Company 2002 Shs.'000	Company 2001 Shs.'000
At start of year				
- as previously reported	30,019	125,654	(4,111)	(2,723)
-deffered tax on investment property fair value gains	<u>66,043</u>	<u>66,043</u>	<u>66,043</u>	<u>66,043</u>
- as restated	96,062	191,697	61,932	63,320
Profit and loss account (Note 9)	(12,887)	(7,314)	(61,932)	(1,388)
Charged to equity	2,497	-	-	-
Released on restatement of land & buildings to historical cost	-	(88,321)	-	-
At end of year	<u>85,672</u>	<u>96,062</u>	<u>-</u>	<u>61,932</u>

The deferred tax assets and liabilities, deferred tax charge/(credit) in the profit and loss account, and deferred tax charge/(credit) in equity are attributable to the following items:

(a) Group - General insurance business

	At start of year (as restated) Shs.'000	Charged (Credited) to profit and loss Shs.'000	Charged (Credited) to equity Shs.'000	At end of year Shs.'000
Deferred tax (assets) / liabilities				
Accelerated tax depreciation	8,695	(10,148)	-	(1,453)
Property revaluations	105,797	-	2,497	108,294
Deferred development costs	10,915	208	-	11,123
Tax losses	(29,535)	-	-	(29,535)
Provisions	<u>190</u>	<u>(2,947)</u>	<u>-</u>	<u>(2,757)</u>
	<u>96,062</u>	<u>(12,887)</u>	<u>2,497</u>	<u>85,672</u>



(b) Group - long term business

	At start of year (as restated) Shs.'000	Charged/ (Credited) to profit and loss Shs.'000	Charged/ (Credited) to equity Shs.'000	At end of year Shs.'000
Deferred tax (assets) / liabilities				
Accelerated tax depreciation	-	1,398	-	1,398
Property revaluations	52,257	13,742	-	65,999
Tax losses	(99,432)	(50,968)	-	(150,400)
Provisions	-	(323)	-	(323)
	(47,175)	(36,151)	-	(83,326)
Less: deferred tax asset not recognised	47,175	36,151	-	83,326
Per balance sheet	-	-	-	-

The net deferred tax asset has not been recognised as there may not be sufficient taxable profits in the foreseeable future to utilise the temporary differences.

(c) Company

	At start of year (as restated) Shs.'000	Charged/ (Credited) to profit and loss Shs.'000	Charged/ (Credited) to equity Shs.'000	At end of year Shs.'000
Accelerated accounting depreciation	(4,111)	4,111	-	-
Tax losses	(29,535)	-	-	(29,535)
Property revaluations	95,578	-	-	95,578
Net deferred tax liability	61,932	4,111	-	66,043

31 Other payables

	Long term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
a) Group				
Rent deposits	7,280	11,933	19,213	10,456
PAYE and withholding tax arrears	5,810	28,874	34,684	4,867
Other creditors and accruals	103,479	88,443	191,922	202,071
	116,569	129,250	245,819	217,394

(b) Company

	Total 2002 Shs.'000	Total 2001 Shs.'000
a) Group		
Rent deposits	-	10,456
PAYE and withholding tax arrears	-	4,867
Other creditors and accruals	29,439	156,342
	29,439	171,665

32 Borrowings

	Long term insurance business Shs.'000	General insurance business Shs.'000	Total 2002 Shs.'000	Total 2001 Shs.'000
a) Group				
Premium financing	27,128	-	27,128	50,041
Bank Overdraft	-	-	-	25,234
	27,128	-	27,128	75,275

Premium financing liabilities relate to borrowings by insureds where the Group has entered into agreements with financiers to refund the outstanding balance of borrowings in the event of default by the borrower. The company had received full premiums during the year in respect of the policies that were the subject of the financing.



33 Fair Values and effective interest rates

In the opinion of the directors, the fair values of financial assets approximate their carrying amounts. The following table summarises weighted average effective interest rates for the principal financial assets at the year end;

	2002	2001
	%	%
Deposits with financial institutions - (Shs. accounts)	7.0	9.2
Deposits with financial institutions - (US\$ accounts)	1.0	1.5
Treasury Bills	9.0	12.7
Treasury Bonds	13.0	13.5
Mortgage loans - granted before 31.12.2001	6.0	6.0
Mortgage loans - granted after 31.12.2001	10.0	-
Borrowings	19.0	20.1
Policy loans	16.0	16.0
Commercial paper	9.42	13.0

34 Commitments

Capital commitments

There were no capital commitments contracted but not recorded in the financial statements at the balance sheet date.

Operating lease commitments

The future minimum lease payments under non cancellable operating leases are as follows;

	2002	2001
	Shs.'000	Shs.'000
Not later than one year	15,877	10,037

35 Contingencies

The company has instituted legal proceedings against certain former directors for breach of their fiduciary duty. It has also filed defence against a former executive director who is claiming damages for wrongful dismissal.

At 31st December 2002, the group had contingent liabilities in respect of bank guarantees amounting to Shs. 6,490,510 (Pan Africa Life Assurance Limited Shs 1,800,000 and Pan Africa General Insurance Limited Shs. 4,690,510) arising in the ordinary course of business. It is not anticipated that any material liabilities will arise from these guarantees.

36 Related party transactions (Group)

a) Mortgage loans to former Directors and companies related to them

	At start of year	Advanced in 2002	Repayments	At end of year
	Shs.'000	Shs.'000	Shs.'000	Shs.'000
i) Loans at concessionary rates				
Principal amount	19,963	-	(3,040)	16,923
Interest on loans	494	2,398	(984)	1,908
	<u>20,457</u>	<u>2,398</u>	<u>(4,024)</u>	<u>18,831</u>



36 Related party transactions (Group)

(ii) Loans at market rates

	At start of year Shs.'000	Advanced in 2002 Shs.'000	Repayments Shs.'000	At end of year Shs.'000
Principal amount	25,154	-	(2,817)	22,337
Interest on loans	1,368	4,698	(3,648)	2,418
	26,522	4,698	(6,465)	24,755

The amounts in (i) and (ii) above relate to loans to directors who relinquished their directorships in July 2001.

b) Mortgage loans to current directors at concessionary rate

Principal amount	3,816	-	(30)	3,786
Interest on loans	(4)	483	(283)	196
	3,812	483	(313)	3,982

c) Insurance-related transactions with related parties

In the ordinary course of business the group receives and cedes premium to related companies, on terms similar to those extended to third parties. The following transactions were entered into during the year:

(i) Net premiums ceded net of commission (Group)

	2002 Shs.'000	2001 Shs.'000
East Africa Reinsurance Company Limited	12,608	587
Reliance Insurance Company Tanzania Limited	-	(342)
African Life Assurance Company Limited	67,819	28,199
	80,427	28,444

(ii) Claims recoverable

East Africa Reinsurance Company Limited	8,846	-
African Life Assurance Company Limited	50,422	-
	59,268	-

The above transactions resulted in the following balances at the year end:

East Africa Reinsurance Company Limited	(6,992)	(855)
Reliance Insurance Company Tanzania Limited	1,792	1,792
African Life Assurance Company Limited	(35,708)	(5,700)
	(40,908)	(4,763)

(d) Expenses incurred by or on behalf of related parties

In the course of the year, various items of expenditure have been paid for by the company which will be recovered from African Life Assurance Limited, the principal shareholder. Similarly, certain expenditure of the Company has been met by African Life Assurance Company Limited which will be reimbursed to them. The cumulative effect of these transactions as at 31st December 2002 is;

	At start of year Shs.'000	Transactions during the year Shs.'000	At end of year Shs.'000
Receivable from African Life Assurance Company Limited	3,627	986	4,613
Payable to African Life Assurance Company Limited	(9,327)	(7,472)	(16,799)
	(5,700)	(6,486)	(12,186)
The amount payable to African Life Assurance Limited can be further analysed as follows:			
Pan Africa Life Assurance Limited	4,095	4,131	8,226
Pan Africa General Insurance Limited	4,095	3,341	7,436
Mae Properties Limited	1,137	-	1,137
	9,327	7,472	16,799



Included in the Shs. 7,472,000 as transactions during the year, are management fees of Shs. 4,333,891.

e) Directors remuneration - Group

Directors remuneration : fees
: for management

2002 Shs.'000	2001 Shs.'000
2,225	2,150
16,600	18,936
18,825	21,086





administration

PAN AFRICA LIFE ASSURANCE LIMITED

EXECUTIVE COMMITTEE

AD Greenwood – CA(SA), ACA(Aus) – Executive Director
G Kioi – BSc(Hons), MBA, CPA(K), CPS (K) – General Manager
– Finance
JM Muiruri – BSc(Hons), ACII – General Manager
GJ Richter – BA, BA(Hons) Biok, Ph.D. - National Sales Manager
RK Murithi – Divisional Manager – Operations
W Ngari – BSc(Hons), ACII – Training Manager

DEPUTY DIVISIONAL MANAGERS

S Chege – BCom, CPA(K), CPS(K) – Operations
L Magambo – BSc, CPA(K), IMIS Dip. – Finance
J Ntutu (Mrs) – BSc – Marketing Manager - Eastern Zone
F Ogwel – BA - Marketing Manager - Western Zone
J Wamwea – BSc, Dip. CS, MCSE, UNIX ACE – IT

UNIT LEADERS

S Mwangi – Finance
C Mweru (Miss) – BCom – Customer Service
J Njenga (Mrs) – BEd – Corporate Business
C Njehia (Mrs) – BA – New Business
N Waruinge (Ms) – BA, ACII – Premium Liaison
R Waweru-Kirueya(Mrs) – Dip. CS – IT

SALES MANAGERS

T Amina (Mrs) – BEd – Nakuru
J Amunga – BEd – Eldoret
K Bow – Nyeri
J Gatoto – BEd – Nairobi Metro
P Kitela – BSc – Thika
J Mureithi – ACII – Meru
C Ogenche – BCom(Ins) – Kisii
T Omiti – BCom(Ins) – Kisumu

PAN AFRICA GENERAL INSURANCE LIMITED

EXECUTIVE COMMITTEE

D Lacey – BCom(Hons), MBL, FCII, FIIA – Chief Executive
KM Kimani – BSc(Bus. Adm), ACII, – General Manager (Appointed
Principal Officer on 18th March 2003)
B Ambunya (Miss) – LLB – Claims Manager
TN Kamau – BCom, MBA, ACII, CISA PGDSA (Hons) – IT
P Ndegwa (Miss) – BA, ACII – Specialty Manager
F Wokabi (Mrs) – BA – Business Dev. Manager
M Kabiru – BCom(Accounts) – Ag. Finance Manager

ASSISTANT MANAGERS

J Kamande (Mrs) – LLB, Dip. Law – Claims
J Mutisya – Credit Control
G Ndungu – BA, ACII – Underwriting
A Njoroge (Mrs) – BA – Claims

REGIONAL EXECUTIVES

A Gichuki – BCom – Rift Valley Region
F Kirema – BCom – Mt Kenya Region
D Makau – ACII – Coast Region
H Otiso – BCom – Western Region



corporate information

HOLDING COMPANY

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Pan Africa House, Kenyatta Avenue
P O Box 10493, Nairobi 00100
Tel: 247600, Fax: 217675
Email: insure@pan-africa.com

Insurance Subsidiary Companies

Pan Africa Life Assurance Limited

P O Box 44041, Nairobi 00100
Tel: 247600, Fax: 217675
Email: lifeinsure@pan-africa.com

Pan Africa General Insurance Limited

P O Box 30065, Nairobi 00100
Tel: 339544-9, Fax: 217675
Email: insure@pan-africa.com

Consulting Actuaries

Alexander Forbes Financial
Services (EA) Limited
P O Box 52439, Nairobi 00200

Auditors

PricewaterhouseCoopers
The Rahimtulla Tower
P O Box 43963, Nairobi 00100

PAN AFRICA LIFE ASSURANCE LIMITED

Agency Offices

Mombasa Office

Ambalal House, Nkrumah Road
P O Box 90383, Mombasa 8 0100
Tel: 011-311200/315862, Fax: 011-223622
Email: paicmsa@africaonline.co.ke

Kisumu Office

Al-Imran Plaza, Oginga Odinga Road
P O Box 1884, Kisumu 4 0100
Tel: 035-41899, Fax: 035-22716
Email: paicksm@africaonline.co.ke

Nyeri Office

NDCU House
P O Box 618, Nyeri 1 0100
Tel: 0171-2730, Fax: 0171-4945
Email: paicnyeri@africaonline.co.ke

Meru Office

Meru Mwalimu Plaza, Moi Avenue
P O Box 1329, Meru 6 0200
Tel: 0164-20436, Fax: 0164-20336
Email: paicmeru@africaonline.co.ke

Thika Office

Thika Arcade, Kenyatta Highway
P O Box 1144, Thika 0 1000
Tel: 0151-22123
Email: paicthika@africaonline.co.ke

Kisii Office

Shabana Building
P O Box 288, Kisii 4 0200
Tel: 0381-30480, Fax: 0381-31049
Email: paickisii@africaonline.co.ke

Eldoret Office

KVDA Plaza, Oloo/Utalii Streets
P O Box 596, Eldoret 3 0100
Tel: 0321-61447, Fax: 0321-62680
Email: paiceld@africaonline.co.ke

Machakos Office

Red Cross Building
P O Box 1852, Machakos 9 0100
Tel: 0145-21484
Email: paicmachakos@africaonline.co.ke

Embu Office

Mugo Gatungo Building, Kenyatta Highway
P O Box 1804, Embu 6 0100
Tel: 0161-30039
Email: paicembu@africaonline.co.ke

Nakuru Office

Giddo Plaza, Nairobi/Eldoret Highway
P O Box 15163, Nakuru 2 0100
Tel: 037-41643/91
Email: paicnakuru@africaonline.co.ke

PAN AFRICA GENERAL INSURANCE COMPANY LIMITED

Branch Offices

Mombasa Office

Ambalal House, Nkrumah Road
P O Box 90383, Mombasa 8 0100
Tel: 011-225582, Fax: 011223622
Email: paicmsa@africaonline.co.ke

Nyeri Office

NDCU House
P O Box 618, Nyeri 1 0100
Tel: 0171-30332, Fax: 0171-4945
Email: paicnyeri@africaonline.co.ke

Kisii Office

Shabana Building
P O Box 288, Kisii 4 0200
Tel: 0381-30049, Fax: 0381-31049
Email: paickisii@africaonline.co.ke

Nakuru Office

Mache Plaza
P O Box 12632, Nakuru 2 0100
Tel: 037-212542, Fax: 037-4560
Email: pannakuru@africaonline.co.ke



principal shareholders

Top ten shareholders as at 30th April 2003

Shareholder	Shares held	%
1 Hubris Holdings Limited	22,119,653	46.08
2 The Co-operative Bank Kenya Limited	3,897,745	8.12
3 Thammo Holdings Limited	3,380,652	7.04
4 BC Patel	2,535,963	5.28
5 Kanchar Kenya Limited	2,025,028	4.22
6 Nak Enterprises Limited	1,767,255	3.68
7 Kenya Reinsurance Corporation Limited	921,440	1.92
8 Stanbic Nominees (K) Limited	630,000	1.31
9 Cannon Assurance (K) Limited	462,962	0.96
10 Financial Futures Limited	430,855	0.90
	38,171,553	79.524
Total Number of Shares In Issue	48,000,000	

Shareholder's calender

Financial year end	31st December
Announcement of results	15th April 2003
Annual report posted on or about	26th May 2003
Annual General Meeting	19th June 2003



proxy form

The Secretary,
Pan Africa Insurance Holdings Limited,
Kenyatta Avenue,
PO Box 10493, Nairobi. 00100

PROXY,

I/We _____
of _____
being a member of Pan Africa Insurance Holdings Limited and entitled to

_____ votes hereby appoint _____
of _____
or failing him _____
of _____
as my/our Proxy to vote for me/us on behalf at the Annual General Meeting of the Company to
be held on 19th June 2003 and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2003.

Signature(s) of _____

**Note: In case of a corporation, the Proxy must be made
under its Common Seal.**

Our Staff:

Agnes Kinanu . Agnes Kilru . Alice Michael . Alice Njoroge . Amos Kimenju . Amos Mullevi . Andrew Greenwood
Anne Mwangi . Anne Mulindi . Anne Maina . Annie Gicheru . Anthony Gichuki . Antonine Wamban . Augustine Koima
Barnaba Kipchumba . Beatrice Wanjiru . Bernard Muriuki . Bessie Ambunya . Charles Gitonga . Caroline Obuar
Caroline Wasike . Catherine Maandu . Catherine Njehia . Cecilia Ndungu . Cecilia Mweru . Charity Kibiku . Charles Mjomba
Charles Mbae . Christine Kabue . Damaris Kyenze . Daniel Lui . Danstan Kaburia . Domonic Makau . Edward Gacheru
Eleanor Kipot . Eliud Kariuki . Elizabeth O'kondo . Eric Mureithi . Emes Oburu . Faith Kanampiu . Faith Gichira
Felix Wathome . Festus Okello . Flora Wokabi . Florence Omondi . Francis Kirema . Francis Mutuku . Francis Ogwel
Francisca Omondi . Frederick Maina . Gabriel Richter . Gabriel Ngotho . George Jonyo . George Ndungu . Gideon Musyoka
Gladys Kairu . Godfrey Kioli . Grace Imbwaga . Grace Karanja . Hannah Kamenju . Henry Otiso . Ibrahim Odhiambo
Irene Kuria . Isaiah Wachira . Jacinta Muturi . Jacqueline Wanyoike . James Kamuti . James Muiruri . Jane Akinyi
Jane Muna . Jane Njoroge . Jane Ntutu . Jane Onimbo . Jane Maina . Jane Njenga . Jeniffer Kariuki . Jeniffer Mwikali
John Waweru . Jonathan Mutisya . Joseph Ngugi . Joseph Kamau . Joseph Kiune . Joseph Wamwea . Josephine Murengi
Josinta Obonyo . Juliet Kamande . Julius Kibera . Kenneth Kimani . Lilian Owino . Linus Mbuu . Lucy Munjuga
Luke Magambo . Margaret Nyambura . Martin Gacheru . Mary Kiarie . Mercy Kago . Mercy Mathenge . Michael Kabiru
Michael Owich . Milka Kingacha . Monica Maina . Nancy Kawira . Nancy Ngari . Nicholas Ouma . Njoki Waruinge
Patricia Ndegwa . Patrick Kithi . Penny Njuguna . Peter M'Mbiliwe . Peter Muriuki . Peter Ooko . Phillip Kabaiku
Prisca Mwika . Priscilla Kimari . Rachel Wagemu . Rebecca Murigu . Rebecca Nyangau . Richard Muriithi . Rita Waweru
Rosa Gitonga . Rosemary Mbugua . Ruth Njika . Salome Kangau . Samson Mwangi . Samuel Chege . Samuel Gichuki
Samuel Njenga . Samuel Mbaabu . Samuel Kuyoh . Samuel Waweru . Sarah Mulindi . Sera Kiuna . Stephen Chabari
Stephen Wagitu . Thomas Mutua . Tomothy Kamau . Vincent Owako . Violet Owaga . Wahome Ngari . William Kariithi
Willis Ombuta . Winnie Mwaranganya . Wycliffe Dimba



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